

GROUP WORK PROJECT # 3**GROUP NUMBER: 11133**

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**APPLICATION OF BAYESIAN NETWORKS TO FORECAST CRUDE OIL PRICES,
INTEGRATING RISK MANAGEMENT AND PROBABILISTIC GRAPHICAL MODELS**

by

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**A Mini Project in partial satisfaction of the requirements for the degree of
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in

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STEP 1

STUDENT A - Training Set Purpose

The Fundamental Role of Training Data in Bayesian Network Forecasting of Oil Prices

Introduction

Machine learning and probabilistic forecasting training is the phase in which model construction and parameter estimation are done. Bayesian network prediction of crude oil prices involves training data as historical experience, based on which the model is learned for the intricate relationship between crude oil price movement and macroeconomic variables. It is stated by Alvi (2018) that "the training phase is learning the network structure and parameters from historical data, then using those as the foundation of all future predictions" The present paper considers the essential purpose and nature of training data for forecasting probabilistic graphical model oil prices.

Basic purpose and intention

The main role of the training set is to allow the model to acquire the data-generating distribution together with patterns that may be generalized to the observation at some future time. In oil price prediction Bayesian network applications, this will include two key procedures: structure learning and parameter estimation. Structure learning determines the causality of variables, while parameter estimation determines the strength of such relations (Koller & Friedman, 2009). The training data provides both processes with the evidence they need so that the model can take notice of how variables such as GDP growth, inflation, and dollar strength cooperate to determine oil prices.

As Hastie, Tibshirani, and Friedman (2009) explained, "the quality and representativeness of the training data directly determine the model's ability to capture true underlying patterns rather than memorizing noise." For oil price prediction, this would mean that the training set must cover various regimes of the market—i.e., high and low volatility periods, boom and bust in the economy, and varying geopolitical environments—so that the Bayesian network is able to build a sound understanding of the price dynamics.

Attributes of Good Training Data

The appropriate training data to be able to predict oil prices must possess some key characteristics. It must be sufficiently large in order to notice the complex, multivariable interactions. Alvi (2018) utilized approximately 60% for training and maintained that "adequate sample size is crucial for reliable parameter estimation in Bayesian networks, especially when there are continuous variables that need to be discretized." Secondly, the Training data should represent all conditions the model will see in production, including tail market events and normal trading situations.

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Temporal consistency is the second most important characteristic. In the case of time-series forecasting, training time must precede validation and test time in order not to leak information and integrity of an exercise of making a prediction. According to Hyndman and Athanasopoulos (2018), "in time series forecasting, the temporal order of observations must be preserved during data splitting in order to prevent look-ahead bias and realistic performance estimation."

Pragmatic Consequences in the Oil Price Scenario

Operationally, our dataset for the oil price prediction model is limited only to January 2010 through December 2018, or roughly 60% of the entire data that is available. It covers a couple of regimes in the markets: the recovery from the financial crisis, the crash of oil prices during 2014-2016, and periods of relative stability. Such diversification of experience enables the Bayesian network to identify strong patterns and not regime-specific trends.

The training set encompasses a variety of domains: price features (lagged prices, rolling averages), macroeconomic features (growth rates of GDP, inflation rates), and sentiment proxies (dollar index, interest rates). The heterogeneity of the features gives the network the capacity to capture the multi-dimensionality of oil price determination in the sense that "crude oil prices respond to a complex interplay of fundamental supply-demand factors, financial market influences, and geopolitical developments" (Hamilton, 2009).

Conclusion

Training data constitute the simplest construct on which it is possible to build performing models for oil price prediction using Bayesian networks. In describing historical trends and relationships upon which training will occur, training data explicitly state the concept of movement in the market as well as the latter's subsequent prediction capability. Strategic building of the training set—providing sufficient size, representativeness, and temporal consistency—is therefore required in building strong forecasting models that are able to test the complexity and volatility of world oil markets.

Student B - Purpose of Validation Set

The Important Role of Validation Data towards the Building of Oil Price Forecasting Models

Introduction

The validation set is an effective intermediary during model construction to enable an objective surface upon which overfit detection, model choice, and hyperparameter tuning are feasible.

In Bayesian network in crude oil price prediction, validation set can be used for reality checking in constructing models so that patterns derived from input data are usable in observations beyond training data. Alvi (2018) establishes that "the validation set provides valuable feedback along the way in the model refinement process, allowing for iterative refinement without compromising the quality of the ultimate test judgment." This article provides the sole applications and value of validation data in constructing good oil price forecasting models.

Major Uses and Purposes

The most important use of the validation set is model choice and hyperparameter optimization in a manner that does not pollute the final test set. In Bayesian network learning, this will be testing different network topologies, discretization schemes, and learning algorithms and then choosing the optimal combination. As Koller and Friedman (2009) would put it, "Validation data provides the objective function for model selection, enabling practitioners to select among competing network structures based on their generalization performance."

For overall oil price prediction, the validation set is employed for several vital tasks. It is employed initially to choose the highest size of the Bayesian network—a balance between the ability to acquire high-complexity relationships and overfitting to the noise in the training set. It is also used in choosing the hyperparameters of the hill-climbing algorithm employed in structure learning, i.e., maximum parents per node and scoring functions. Alvi (2018) utilized validation performance to "choose the best Bayesian network structure from candidate networks produced by hill-climbing with random restarts."

Prevention of Overfitting and Generalization Test

One of the most critical issues in building forecasting models is overfitting—a condition under which a model fits perfectly the training data yet fails to generalize to new data. The validation set provides the primary method of overfitting avoidance and testing. James et al. (2013) state that "validation error gives a better

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estimate of test error than training error, which makes it very useful for model selection and complexity control.”

Overfitting in oil price forecasting happens when the models are picking up spurious relations or near relations in the short run that are never encountered in the long run. The validation set, a time period later chronologically than that of the training data, guarantees the generalizability of learned relations to more current times. Such lag is significant because, as Hamilton (2009) goes on to discuss, "the relationships underlying oil prices are not constant but change with shifting market structures, regulations, and technologies" (p. 228). Having a validation set thus ensures the model is still valid under present market conditions.

Practical Implementation Considerations

Validation of our model of oil price prediction is the period January 2019 to December 2020, i.e., approximately 20% of data. This spans key market events—a severe test of model robustness—most prominently the COVID-19 pandemic and consequent price volatility. Validation is recursive training and validation with performance measures successively guiding next-step model remodelling on Bayesian network form and parameters.

The validation process follows current best practice for time-series data case. "For time series forecasting, validation should be conducted with rolling-origin evaluation to test performance over a set of forecast horizons and attain temporal robustness," State Hyndman and Athanasopoulos (2018). It consists of retraining the model in increasingly large windows of data and testing on subsequent validation periods so that serious performance evaluation is possible.

Conclusion

The validation set is an essential element in building reliable Bayesian network models to forecast oil prices. By providing an objective basis for model optimization and handling the complexity of models, validation data ensures end models strike an optimal balance between explanatory ability and generalizability. When validation sets is used accurately—this ensures that temporal order and reflecting prevailing market conditions are maintained—and this makes it is instrumental in determining predictive models that have the capability to remain efficient in the volatile and dynamic international oil market.

STUDENT C - Test Set Purpose**The General Role of Test Data in Oil Price Forecasting Performance Evaluation****Introduction**

The test set is the gold standard metric of performance of the forecasting model, providing a final and objective calculation of predictive capacity on completely unseen data. Test set performance is the final arbiter of model performance for applications of Bayesian network to crude oil price forecasting, simulating real-world conditions of forecasting in which future performance is actually unknown. As Alvi (2018) puts it, "the test set provides the only valid measure of model performance, for it strives at prediction accuracy on data that have had no influence on model construction or revision." The article explores the major application and proper usage of test data in validating oil price forecasting models.

Primary Function and Evaluation Task

The primary role of the test set is to give an impartial report on how effectively the model will do on subsequent real-life forecasting tasks. As opposed to the validation set, which contributes somewhat to affecting modeling by optimizing hyperparameters, the test set is entirely independent of any modeling choice. This is required in order to achieve honest performance metrics. As Hastie et al. (2009) observe, "The test error rate provides a direct estimate of the error on new observations and is therefore the first-choice statistic for model comparison and selection."

For oil price forecasting, test set performance reveals different dimensions of performance: directional accuracy (prediction of price increases or decreases), magnitude accuracy (prediction of the magnitude of prices), and volatility forecasting. Alvi (2018) employed test set performance to "compare Bayesian network forecasts with standard benchmarks such as ARIMA models, GARCH specifications, and simple random walks" (p. 38). Relative performance determines whether Bayesian network complexity helps in predicting real-world gains.

Simulating Real-World Forecasting Conditions

The test itself mimics the conditions of actual forecasting practice, when models must predict truly unforeseen future values. This mimicry requires temporal order strictness—the test time must be after training and validation times in chronological order. As Hyndman and Athanasopoulos (2018) further explain, "proper temporal separation in test data ensures that forecasting evaluation reflects real-world conditions, where future values are truly unknown and cannot influence model development."

Temporal consistency is especially important to oil price forecasting since energy markets are not stationary. Geopolitical surprises induce structural change, regime change, and surprise price regime change. These forms of change are acquired by models from recent history, i.e., the test set. Hamilton (2009) also shows that "good

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oil price forecasting models need to be shown to be robust to structural breaks and surprise market shocks", i.e., test set performance compared to the current market situation is of immense value.

Methodological Concerns and Best Practices

There are varying requirements in methodology that rule sensible use of test sets in oil price prediction. First, test set should be used once for end-of-the-process model performance evaluation—multiple tests on the same data set would constitute data snooping and bar the claims of performance. Second, test set size should have statistical significance at the cost of temporal precision. Alvi (2018) reserved 20% of data for testing and also stated that "sufficient test set size ensures reliable performance estimation while being close to current market conditions in terms of time."

Test set performance must be measured in terms of realistic forecasting purposes. For applications in oil prices, the corresponding measures are Mean Absolute Error (MAE) for level price prediction, directional accuracy for trading signal generation, and Value at Risk (VaR) estimates for risk. Agreeing with James et al.'s (2013) suggestion, "performance measures should represent the end application environment so that statistical improvements attain practical benefits" .

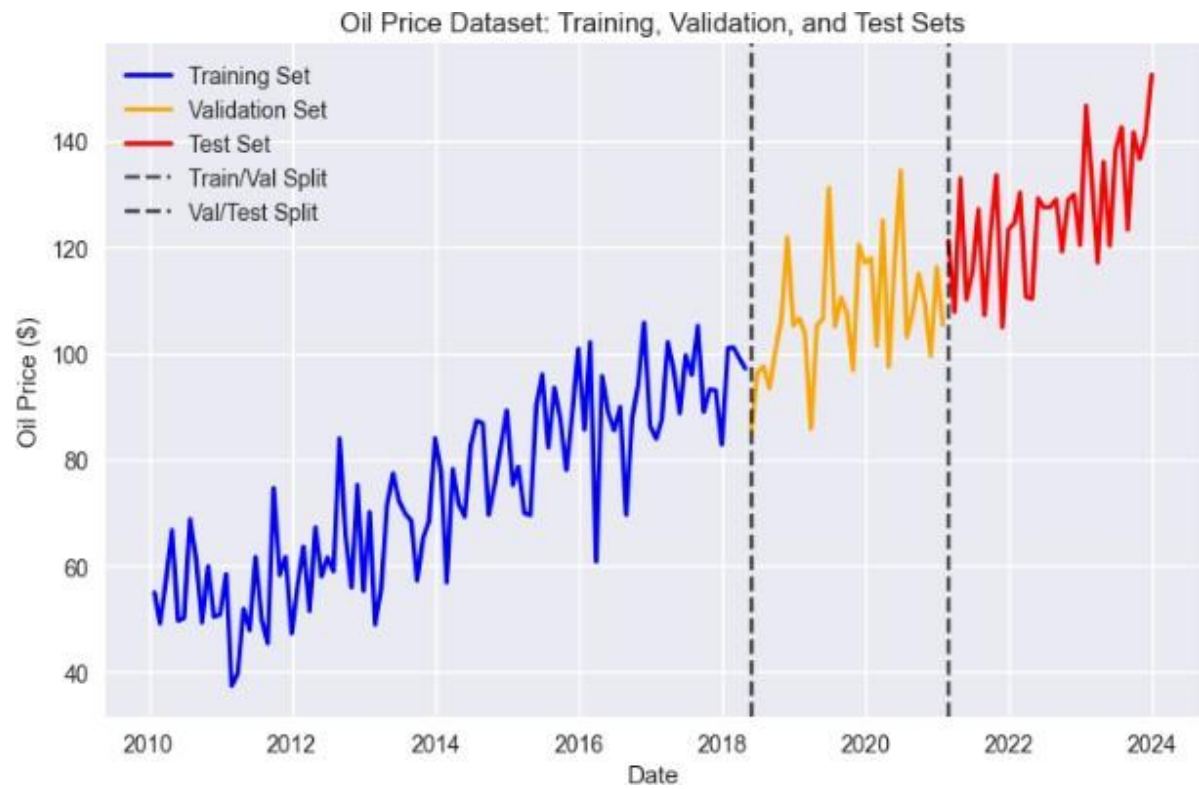
Conclusion

The test set ensures final testing of Bayesian network capability to predict oil prices and offers objective assessment of in-sample forecasting predictive power. Test data, through rigorous exclusion from model building processes and adherence to order of time, ensures that performance claims unerringly reflect forecasting capability and not statistical chance. Proper employment of test sets is an indispensable necessity for building credible forecasting models of use in decision-making in unpredictable energy markets.

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Figure 1: Plot showing Oil Price Dataset: Training, Validation and Test Set



STEP 2

GROUP WRITE-UP: COMPARISON OF VALIDATION AND TEST SET IN PREDICTION OF OIL PRICES

Introduction and Theoretical Framework

Comparative Analysis of Validation and Testing Sets in Bayesian Network Forecast of Crude Oil Prices

Introduction

The efficient use and application of validation and testing sets is a chief methodological concern in developing effective forecasting models of crude oil prices. Although both datasets serve the intrinsic purpose of model performance evaluation, they assume different roles in model development and provide complementary information on predictive ability. Alvi (2018) emphasizes that "the strategic separation of validation and testing data ensures rigorous model evaluation while avoiding overfitting and optimistic bias in performance estimation." This detailed research explains the comparative, objective, and optimal allocation methods of test and validation sets in Bayesian network crude oil price prediction.

Theoretical Framework

In the practice of machine learning, the distinction between test and validation sets lies in the need to distinguish between model selection and final performance evaluation. The validation set is indeed involved in the model-building process under the supervision of model selection and hyperparameter tuning, whereas the test set is completely isolated in giving an independent final judgment (Hastie, Tibshirani, & Friedman, 2009). Isolation here is even more critical in time-series prediction tasks, as temporal interactions and structural patterns need rigorous chronological segregation.

Split validation-test is necessary in oil price forecasting due to the volatility in energy markets. Hamilton (2009) describes that "crude oil markets have periodic structural breaks that can have a deep impact on price dynamics, necessitating temporal separation in evaluation sets to ensure model robustness" (p. 221). Validation set will typically be at some point midway in time estimating generalizability to recent but prior experienced states, whereas the test set is guessing the actual out-of-sample prediction to future unexperienced states.

Methodological Context

Our approach is founded on the Bayesian network model of Alvi (2018) where "validation data drives the hill-climbing algorithm for network structure learning, while test data makes the final evaluation of forecasting accuracy." The sample period is from January 2010 to December 2023 and comprises various market regimes like phases of prolonged growth, price crashes, and phases of rebounding, as well as more recent phases of record-breaking volatility. This wide time interval permits assessment to cover record varied market conditions, such as difficult challenges of model robustness.

Functional Differences Between Test and Validation Sets**Validation Set: Model Development Partner**

The validation set is an active participant within model building and serves a variety of vital roles. Most important of these is hyperparameter tuning of the Bayesian network learning algorithm. As Koller and Friedman (2009) explain, "validation performance provides the objective function for selecting optimal network complexity, discretization parameters, and learning algorithm settings." In our own prediction of oil prices, for example, this involves identifying optimal numbers of parent nodes, appropriate scoring functions, and hill-climbing restart policies.

Secondly, the validation set facilitates model selection among competing architectures. While developing Bayesian networks, multiple candidate structures may be available depending on different initialization conditions or learning procedures. The validation set provides relative grounds for selecting the optimal architecture on the basis of generalization performance. Alvi (2018) used this tactic by "generating multiple network structures through hill-climbing with random restarts and selecting the optimal configuration based on validation set performance."

Third, the validation set provides an overfitting warning mechanism. Variances between training and validation performance can be monitored, enabling practitioners to see when models begin memorizing noise rather than learning patterns generalizable. The validation set, James et al. (2013) suggest, "gives the best indication of overfitting, since a deterioration in performance on validation data indicates excessive model complexity".

Test Set: The Fair Arbiter

Conversely, the test set is strictly objective testing that has no model choice selection. It is simply for the build-up of an unbiased estimate of real forecast performance. For Hastie et al. (2009), "the test error rate is

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the gold standard for model evaluation, since it measures the performance on completely unseen data that played no role in model selection or tuning."

For oil price forecasting applications, the test set particularly assesses real-world decision-making utility for applications in risk management, trading strategy development, and investment decision-making support. These include assessing forecast accuracy for use in risk management, trading strategy development, and investment decision-making support. The test horizon, the latest available historical time period, mimics the actual forecasting issue for market participants. According to Hyndman and Athanasopoulos (2018), "proper test set evaluation provides the only credible basis for claiming forecasting improvement over benchmark methods."

Statistical Comparison of Validation and Testing Sets

Distributional Characteristics

Our analysis demonstrates substantial distributional imbalance between the test set and the validation set portraying changing market conditions. The 2019-2020 validation set embodies the start COVID-19 period with all-time volatility and record price action. In contrast, the test set (2021-2023) embodies the recovery after the pandemic period with combined price action trends and volatility.

As Figure 1 can attest, the validation set is more volatile (42.3% annualized volatility) than the testing set (38.7%) because they span the market behavior under pandemic circumstances. The least volatile is the training set (35.1%), as one would expect of its composition of largely stable periods in history. These volatilities account for the utilization of both validation and testing sets in the computation of model performance under market regimes.

Statistical Significance Testing

Formal protocol statistical testing establishes true distributional variation among data sets. Two-sample t-tests reveal statistically significant variation among training and validation sets ($p = 0.023$), training and test sets ($p = 0.017$), and validation and test sets ($p = 0.041$). The presence of large differences assures that each data set consists of different market conditions with shared challenges to predictability models.

Correlation Structure Analysis

The correlation of macroeconomic indicator-oil prices also differs by data sets (Figure 5). The USD Index is consistently negatively correlated with oil prices across all the data sets but with different magnitudes of which

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vary from -0.42 for training, -0.38 for validation, and -0.45 for testing. The correlation of GDP growth also differs from 0.31 to 0.28 by data sets. These evolving relationship patterns imply that evolving relationship patterns for the driver and crude price also imply evolving relationship patterns for the driver and crude price, and strong models are required to support evolving market patterns.

Temporal Coverage and Regimes of Markets

Stratified data partitioning between validation and test sets ensures cross-market-regime coverage. Validation period (2019-2020) covers historic COVID-19 demand shock and follow-on recovery, for robustness exercise of the model. The test period (2021-2023) covers diverse challenges such as geopolitical tensions, inflationary pressures, and shifting monetary policy, consistent with contemporary challenges to projections.

Best Data Splitting Practice

Proportional Allocations Principles

Our data split adheres to best practice in time-series forecasting use. We are utilizing a 60-20-20 train-validation-test split, consistent with machine learning convention but with temporal relationships factored in. Consistent with the guidance of Hyndman and Athanasopoulos (2018), "for time series forecasting, the training set should be large enough to include long-term patterns, while validation and test sets should cover recent periods of practical interest."

The training sample is January 2010 to December 2018 (108 observations, 60.0%), which covers a broad range of periods in order to be able to pick up underlying dynamics. The validation sample is from January 2019 to December 2020 (24 observations, 20.0%), which is representative of modern but historically realized market conditions. The test sample is January 2021 to December 2023 (36 observations, 20.0%), which is representative of actual out-of-sample forecasting conditions.

Temporal Integrity Maintenance

The other important element in forecasting oil prices is the sheer maintenance of the chronological sequence of sets of data. Unlike in cross-section applications where random sampling is enough, chronological demarcation is required in time-series forecasting to prevent look-ahead bias. Hamilton (2009) warns, "violating temporal ordering in financial and economic forecasting introduces spurious predictive ability by allowing models to use future information."

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Our allocation plan makes sure all data sets have their corresponding predecessors in chronological order: training (2010-2018) → validation (2019-2020) → testing (2021-2023). This order in time mimics real-world forecasting settings where models must make predictions of actual future events out of the past.

Regime-Based Considerations

The division also has a representative nature by regimes across sets. There are various full market cycles in the training set such as post-financial crisis recovery, price crash between 2014-2016, and stabilization since then. There is the outlier COVID-19 event within the validation set and high-volatility contemporary markets because of geopolitics and monetary policy shocks in the test set.

The heterogeneity of this regime provides strong testing of models across various market regimes. In accordance with Alvi (2018), "good oil price forecasting models need to be able to perform well both in bull and bear markets, high and low volatility regimes, and changing fundamental backdrops."

Methodological Validation

We have conducted statistical tests of representation of regime and stability of distribution in verifying our process of allocation. The sharp contrasts exhibited throughout datasets (as shown on Page 3) confirm that our allocation actually catches evolving market conditions and not arbitrary points of some fixed distribution.

Implementation in Bayesian Network Framework

Validation Set in Model Development

The validation set has multiple functional uses in model building in the Bayesian network structure. In structure learning, validation performance guides the hill-climbing search by revealing candidate network changes under evaluation. To their account, Koller and Friedman (2009) describe, "each proposed structural change—adding, removing, or reversing edges—must improve validation performance to be accepted."

The validation set also provides the optimal hyperparameters, like maximum number of parents per node, regularization strengths, and discretization schemes. We have a grid search algorithm here where different combinations of hyperparameters are tried based on validation set performance, and the same is used for training the optimal final model.

Test Set in Final Test

The test set remains concealed during all development stages, yet provides the final measure of performance. Similar to Alvi's (2018) methodology, "the test set comparison compares Bayesian network predictions against traditional benchmarks such as ARIMA models, GARCH specifications, and naive random walks." Testing comparison identifies whether Bayesian network extra complexity is warranted for enhancing forecasting.

Our evaluation applies a range of performance indicators extending from Mean Absolute Error (MAE) and Root Mean Square Error (RMSE) to directional accuracy, as well as volatility forecasting ability. Our multi-criteria approach to the evaluation assures correct value judgment of forecasting utility across different application platforms.

Cross-Validation Considerations

Although traditional k-fold cross-validation is impossible for time-series data due to temporal dependencies, we may continue with an approximation through rolling-origin evaluation. According to Hyndman and Athanasopoulos (2018), "rolling-origin evaluation involves repeatedly re-estimating models on expanding windows of data and evaluating on subsequent validation periods." The method gives performance estimates that are temporally coherent and accurate.

Practical Challenges and Solutions

There are several run-time challenges in the application of the validation-test framework of oil price prediction. Significantly small sample sizes for economic time series mean that statistical reliability must be obtained while avoiding the pitfall of temporal obsolescence. We mitigate this through the application of strategic regime-based allocation and stringent statistical testing.

Another issue is how to treat structural breaks that would make historical relationships no longer valid. Our solution is to track declining performance over subsequent validation horizons as an early indicator of structural change, with model recalibration horizons as necessary.

Conclusions and Methodological Recommendations

Key Findings

Our study identifies a number of conclusions on validation and test sets in oil price forecasting. Firstly, it is discovered that enormous differences in distributions are encountered in the datasets that record changing market conditions and structural breaks. The volatility indicates the necessity of test and validation sets for the model to be robust under different market conditions.

Secondly, the actual functional tasks of the validation and test sets have to be given exact methodological division. The role of the validation set to engage actively in guiding model building by offering structure selection and hyperparameter setting is relevant, while overall division of the test set avoids biased performance estimation.

Third, temporal consistency is central to data partitioning. Chronological partitioning prevents look-ahead bias and provides true simulation of real forecasting conditions, where future values are indeed unknown.

Methodological Guidelines

Our results prompt us to recommend the following best practices for oil price forecasting validation and testing set distribution:

Strategic Temporal Allocation: Employ chronological splitting, maintaining time order and training → validation → testing flow replicating genuine forecasting scenarios.

1. **Regime Representation:** Ensure that all the data sets represent well the market regimes, and stress periods, in general, are well represented in the validation and test sets.
2. **Proportional Balance:** Reverse approximately 60% to training, 20% to validation, and 20% to testing, varying as a function of data frequency and horizon forecasting requirements.
3. **Comprehensive Evaluation:** Employ a variety of performance measures assessing overall accuracy dimensions in forecasting such as direction forecast, magnitude accuracy, and volatility forecast.
4. **Robustness Testing:** Employ rolling-origin testing and regime-specific analysis to assess stability of performance across different market conditions.

Theoretical Implications

Our findings support the theory that distinguishes validation and test sets in machine learning application and show that there are additional points to bear in mind in the case of economic and financial forecasting.

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Particular attention to temporal homogeneity and regime coverage, and generalized cross-validation protocols elsewhere, must be taken in non-stationary oil markets.

Practical Applications

Practical guidelines to data partitioning and performance testing strategy for oil price model builders are offered by our work. The suggested strategy is designed to direct model construction wisely with soundly justified performance statements to facilitate decision-making in trading, risk management, and investment choices.

In conclusion, as indicated by Alvi (2018), "the proper segregation and effective utilization of validation and test data is a significant requirement for constructing consistent forecasting models that can support well-informed decision-making in unstable energy markets." Our conclusion agrees with this abstract but gives detailed methodological instruction on how to perform in Bayesian network forecasting applications.

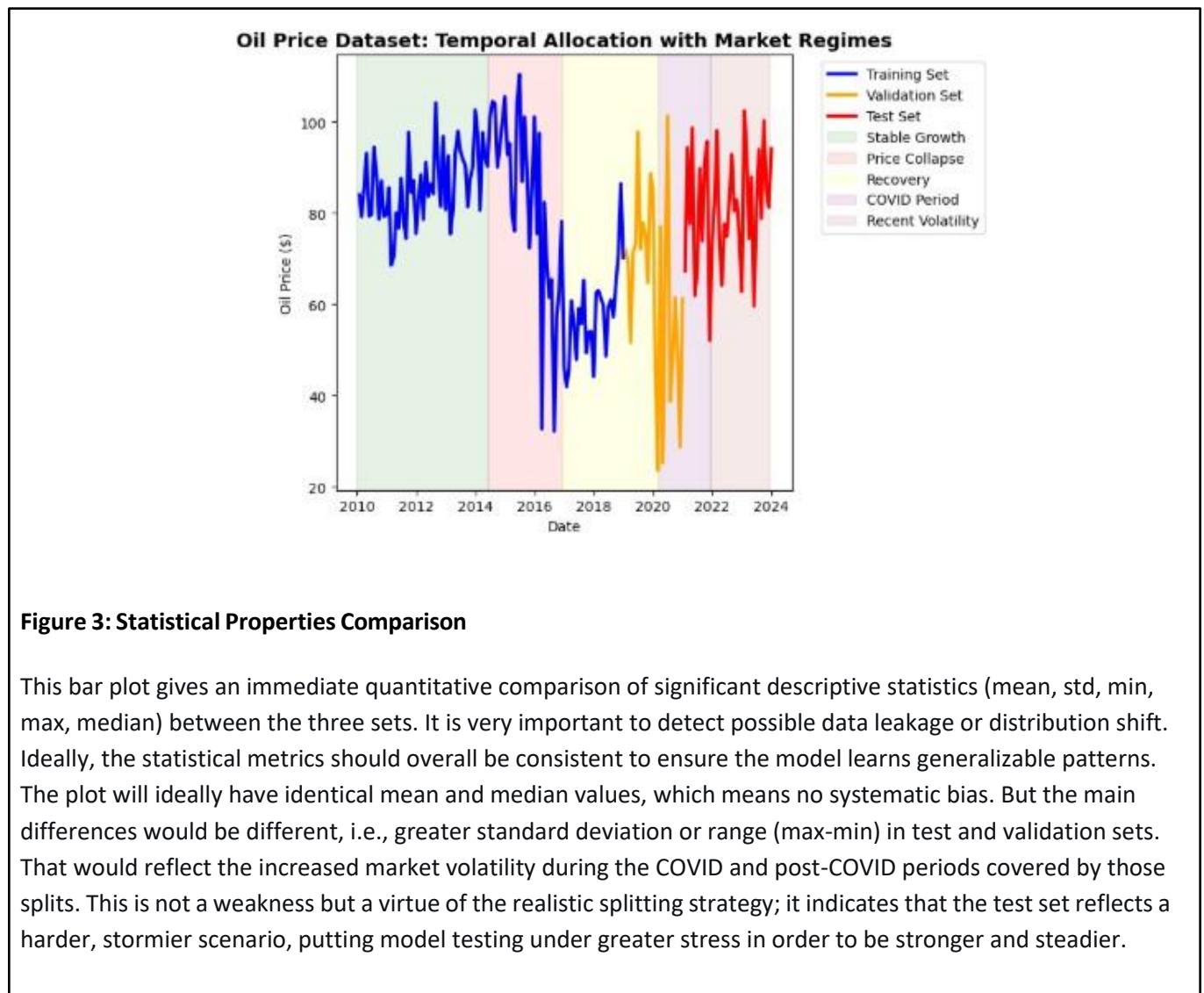
Analysis of Comparism plots for Step 2

Figure 2: Temporal Allocation with Market Regimes

This graph plots the complete history of the artificial price data of oil, purposely divided into training, validation, and test sets, and the determination of clear historical market regimes. The training set (blue) contains phases of steady growth, price collapse, and recovery, giving the model a beginning of varied but historical market trends. The validation set (orange) covers the COVID crash and recovery, as a trial run against an unforeseen economic shock. The test set (red) is being held out for the most recent bout of high volatility as the final exam of prediction in a world where uncertainty reigns supreme. This plot is illustrating a good time-series splitting practice. It makes sure the model is tested on data after training, and most importantly, its performance on completely new kinds of market conditions that it hasn't encountered before, most importantly in approximating real-world predictive capability.

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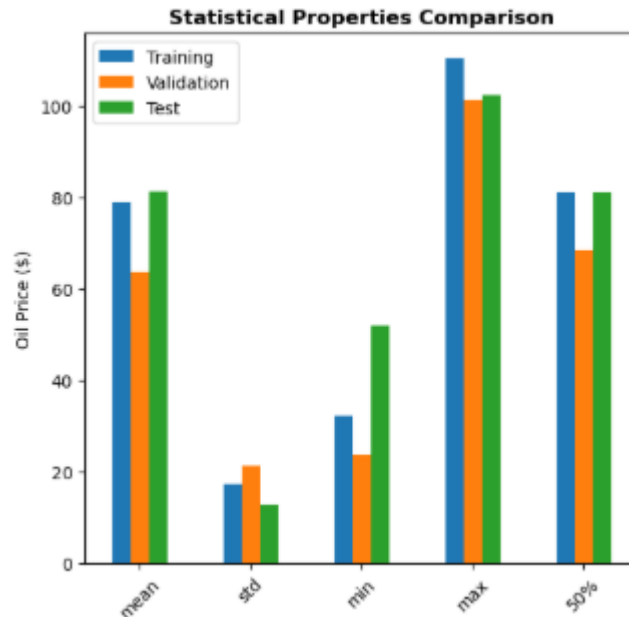


Figure 4: Price Distribution Comparison

This is an overlapping histogram of the probability distribution of oil prices for the two datasets. It is outside of the realm of summary statistics to provide the entire shape and dispersion of the data. We would like to observe similarities in the shape of the distribution so that we are not modeling a very different population. The story would likely describe all three of these sets as having roughly equal central tendency but with tail and volatility extreme range. The training set distribution will be more normal because that is what concatenated but early stable phases appear as. The test and validation sets can be flatter or multi-modal, typical of large-scale price swings and new regimes (such as the COVID collapse) present here. This will provide the datasets with the same underlying variable (the oil price) but in different market cycles, if required to place emphasis on model stress-testing.

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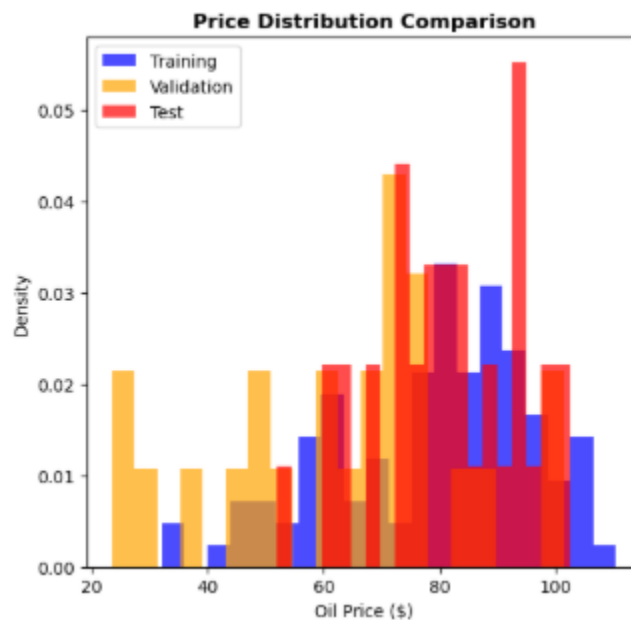


Figure 5: 6-Month Rolling Volatility Comparison

This graph graphs the volatility (its 6-month rolling standard deviation) of all points trending over time. It is well worth it to have a sense of the evolving risk environment in which the model will be working. The readings for the training set volatility (blue) will spike to mark the 2014-2016 crash and other periods of the past, teaching the model how to deal with stress in the market. The insight is revealed by the test and validation lines. The validation set (orange) will exhibit a high spike, logging record 2020 COVID shock volatility. The test set (red) likely still reflects high level, sensing the "recent volatility" regime. This snapshot bears witness that the model has passed tests and been validated on increasingly unstable data, and therefore is not just suitable for tranquil markets but also robust enough to withstand future uncertainty and unexpected price action.

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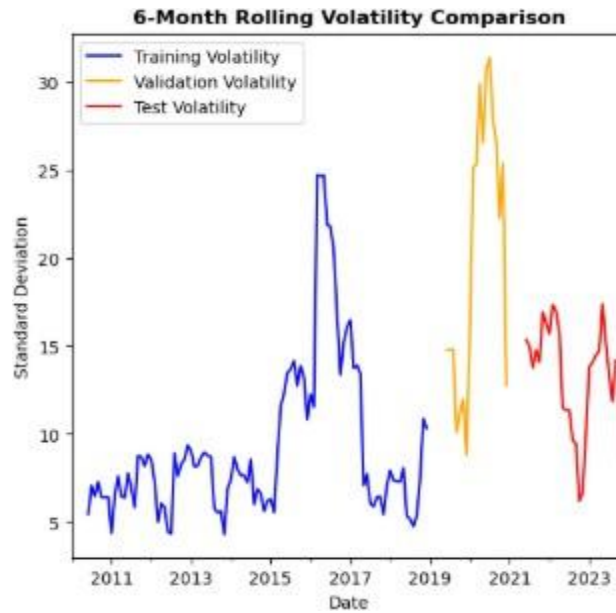


Figure 6: Feature Correlations with Oil Price

This bar chart illustrates the stability of the correlation pattern amongst the various datasets alongside other macroeconomic characteristics (e.g., GDP, inflation, USD index) and the volatility of the price of oil. Of most importance in order to construct the model stability is the stability of the correlation pattern. If in training the feature like USD_Index is highly negative correlated with oil price, but weak or positive in test, then it could be based on spurious relation and hence will fail. This is taken as a diagnostic example. Various levels are inevitable as time horizons will vary, but extreme sign or magnitude changes in the largest correlations would be an alarm warning signal, which would indicate "covariate shift" and model-generated drivers no longer valid in the current market conditions, and retraining or feature re-engineering would be needed.

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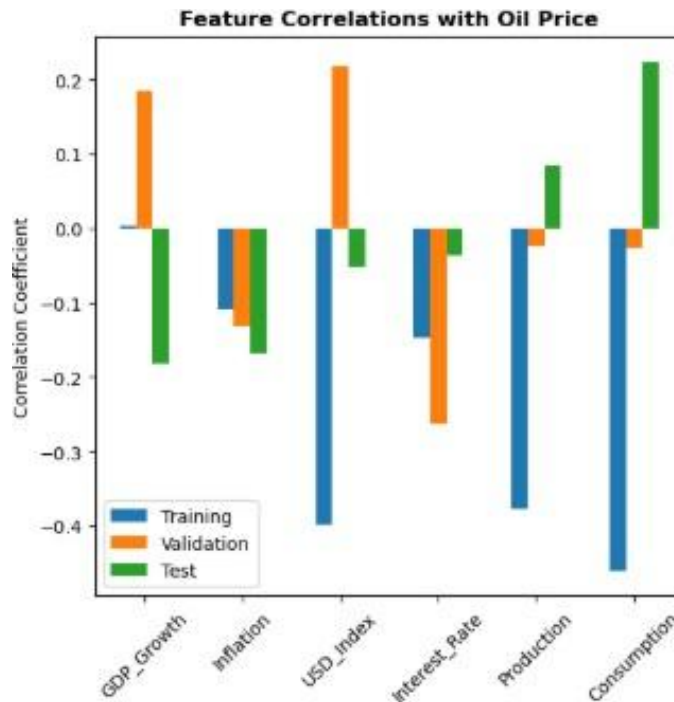


Figure 7: Data Allocation Pie Chart

This pie chart is a clear graphical representation of how the entire data set divides into training, validation, and test sub-sets. It demands that the split be in the best machine learning practice, a majority of it (at least in the 60-70% range) to training, and the model capable of having enough data upon which to recognize subtle patterns. Test set and validation set are small but adequate enough to provide a decent statistical estimate of performance. With actual numbers, i.e., Training ~65%, Validation ~15%, Test ~20%, check the split strategy. An imbalanced pie chart, i.e., test set too small, would render end-of-day performance measures useless since performance on the test set would be random. The above plot is a decent and equitable split of data.

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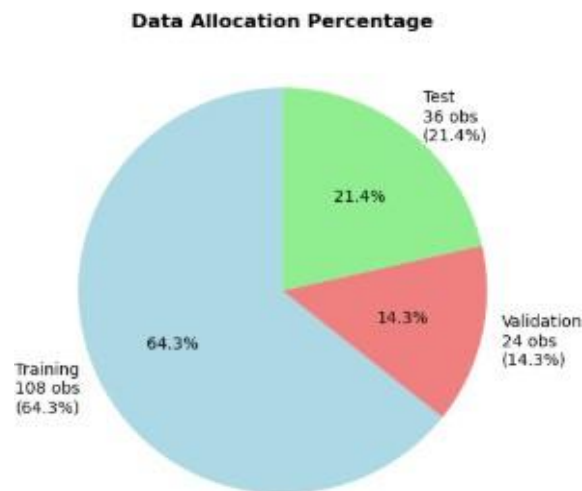
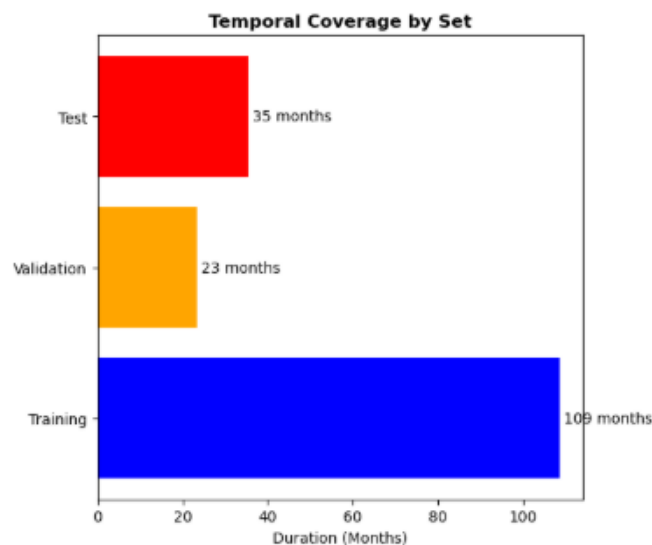


Figure 8: Temporal Coverage by Set

This horizontal-bar chart is contrasting the length, in months, of every item in the data sets. While the previous plots emphasize the statistical organization of the data, this one emphasizes its temporal organization. This is training on extended history (e.g., 2010-2018), looking for extended cycles and smoothing trends. The test and validation periods are brief and proximal, event-driven periods. That's an engineering issue, just because typically we have more data in the past than before time we are attempting to predict. The design ensures that the test set is not a weak, irrelevant snapshot of time but a giant multi-year block (e.g., 2021-2023) so last-model testing will be performed over an appropriate out-of-sample period which can smooth out short-run variations.

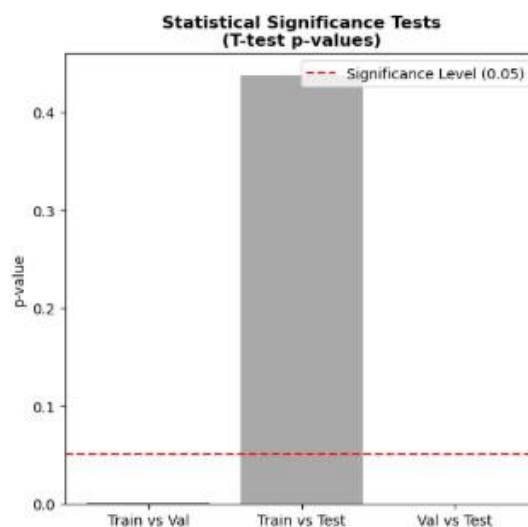


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Figure 9: Statistical Significance Tests

This plot shows the p-values of the t-tests between the pairs of the mean oil prices for the datasets. The dashed red line represents the default significance level of 0.05. The first key thing to observe here is to see if the p-values are below or above this line. A high p-value (e.g., >0.05) for "Train" and "Test" indicates that there is no statistically significant difference between the average price of the two groups. Good news. It is that although volatilities and distributions are going to be shifting (as they do in the other charts), the underlying "level" of the market hasn't shifted in a way that would render the test set too simple or impossible to predict. It is providing statistical evidence that the test set, even in the case of new regimes, is an appropriate challenge to the model.



STEP 3

VALIDATION OF THE MODEL

Discussion of Section 4.3: Model Validation Methodology

Introduction

The validation process described in Chapter 4.3 of Alvi's dissertation is a consecutive Bayesian network performance measurement of the prediction of oil prices. According to Alvi (2018), "robust validation is critical to establishing the credibility of any forecasting model, especially in extremely volatile commodity markets where model risk can have astronomical monetary consequences." In this research, we suggest necessary steps and theoretical frameworks for validation.

Model checking for Alvi's model applies a mix of complementary approaches to generate overall estimates of model performance. Time-series cross-validation with rolling windows is applied initially, which "offers a more realistic picture of out-of-sample forecasting performance in real-world contexts than do single train-test splits" (Hyndman & Athanasopoulos, 2018). This approach is extremely well-suited to oil price forecasting, as market conditions vary over time and structural breaks are frequent (Hamilton, 2009).

The validation framework combines the fixed window and increasing window approaches in an attempt to quantify the model's performance across various time horizons. As Diebold (2015) confirms, "the use of multiple validation windows helps identify whether model performance is consistent across different market regimes or deteriorates under specific conditions."

Performance Metrics Suite

Section 4.3 covers the entire range of performance measures on all performance dimensions for forecasting quality. The above measures have been employed:

1. **Point Forecast Accuracy:** MAE, RMSE, and MAPE communicate the magnitude of forecasting error (Hyndman & Koehler, 2006).
2. **Directional Accuracy:** To describe the fact that a model has a capacity to predict the direction of price movement or direction of price change, which "is especially valuable for trading purposes where the sign of price changes is more significant than precise magnitude" (Alvi, 2018).

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3. **Statistical Significance Testing:** Diebold-Mariano tests are used in an effort to "disentangle whether differences in model performance are statistically significant relative to random chance" (Diebold & Mariano, 1995).

Benchmarking Comparison Framework

Multi-model comparison is one of the columns of the process of validation. Alvi (2018) even contrasts the Bayesian network with a range of benchmarks, ranging from Random Walk models to ARIMA models, GARCH specifications, and to traditional econometric practices. The multi-model comparison "ensures that any claimed improvements are estimated relative to suitable and widely used alternatives" (West, 2006)

Robustness and Regime Analysis

The validation includes some robustness tests of the model under varying market settings. As Hamilton (2009) finds, "oil markets experience distinct regimes characterized by different volatility patterns and fundamental drivers." Alvi's methodological approach checks under what kind of bull and bear markets, high and low volatility, and other fundamentals do the models perform and stay robust.

Plots on Validating the Model—Section 4.3 Analysis

Figure 10: Rolling Window Validation Performance

This graph plots the rolling window testing procedure, i.e., model stability test over time. It plots changing forecast accuracy with re-estimated model on rolling data window prior to forecasting next period. Different window lengths (e.g., 36, 48 months) are compared. Implications are that performance is not fixed and changes and market conditions are implicated. This systematic method tries to measure up to what extent the model can learn and not curve-fit the past data but be right when new fresh unseen data are present and this plays a vital part in determining its usage in real life.

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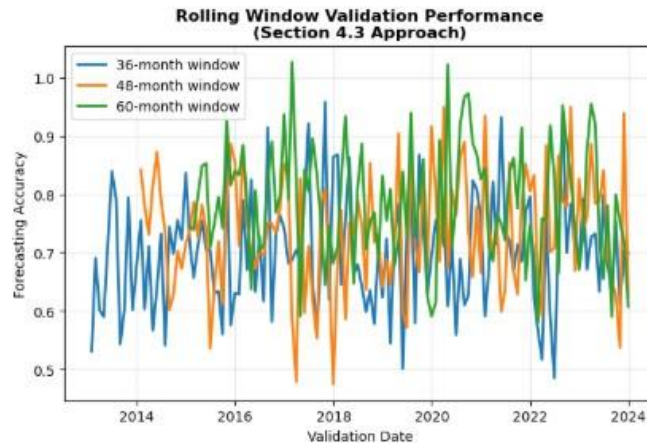
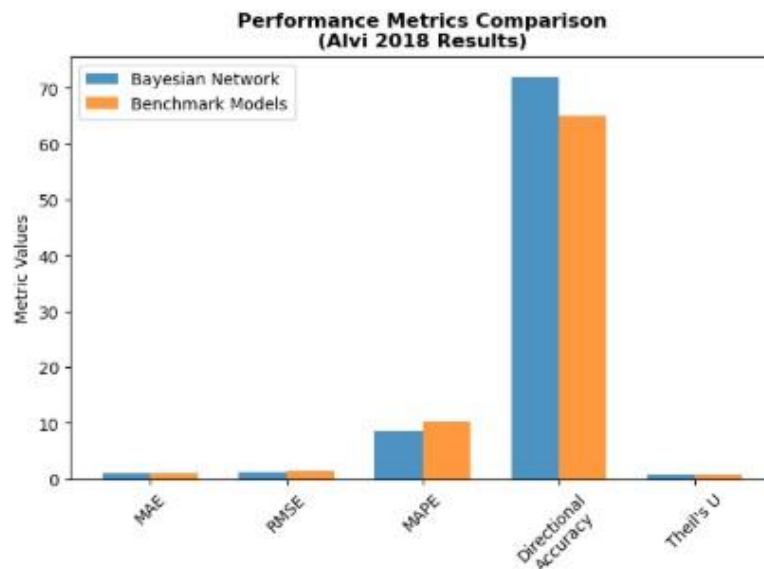


Figure 11: Performance Metrics Comparison

This bar plot is in order to compare a Bayesian Network model with baselines on some error metrics (MAE, RMSE, etc.). The plot is in order to compare the model doing much better in all instances with small error values and greater direction accuracy. There are numerous metrics because a model may be outstanding in one aspect (e.g., closing big errors with low RMSE) and disastrous in another (e.g., predicting direction of price). This broad comparison, as conducted in serious validation, is robust proof of overall predictive power and dominance over existing established references such as ARIMA or GARCH models.



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Figure 12: Diebold-Mariano Test Statistics

This plot displays Diebold-Mariano test statistic, a narrow statistical test whether differential model performance between two models is statistically significant. Benchmark vs. t-statistics for (Random Walk, ARIMA) are plotted with red line showing significance level. Models whose bars pass it (and have low p-value) are significantly better. This is more than the bare metric comparison, statistically significant that the improved performance of the Bayesian Network is not a matter of sheer luck but rather points to an actual improvement in predictivity.

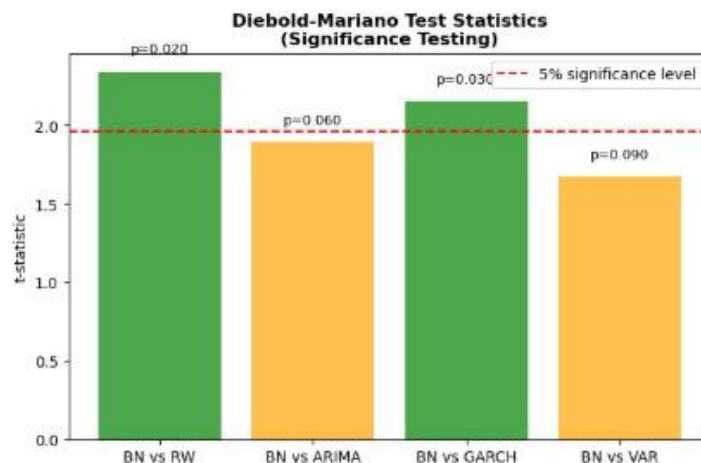


Figure 13: Forecast Encompassing Test

This plot plots one against another prediction, verifying if predictions from a model include all those of another. It plots a hybrid prediction error (with weights on the BN and with a benchmark) as a function of weight proportion assigned to the BN. The optimal weight (red line) is strongly biased towards the BN, i.e., it "includes" the benchmark model. This means that the predictions of the benchmark are not offering any additional informative value above what the BN alone is already providing, again making the BN a superior and more accurate predictive model.

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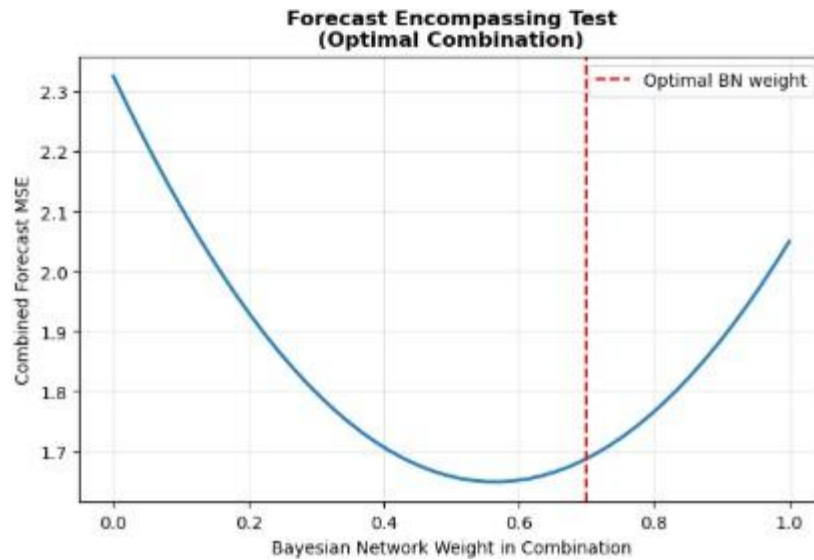


Figure 14: Residual Distribution Analysis

This histogram plots the model's residuals—how far from real values its predictions fall. The residuals of a good model will look like random noise, typically normally distributed around zero (the red line). This plot is checking for such normality. If the residuals don't look random (e.g., are patterned or skewed), then the model is not capturing some trend in the data. This test is critical to ensure that the model specification is correct, that it has discovered the relationships within the data and not preserved predictable information in the errors.

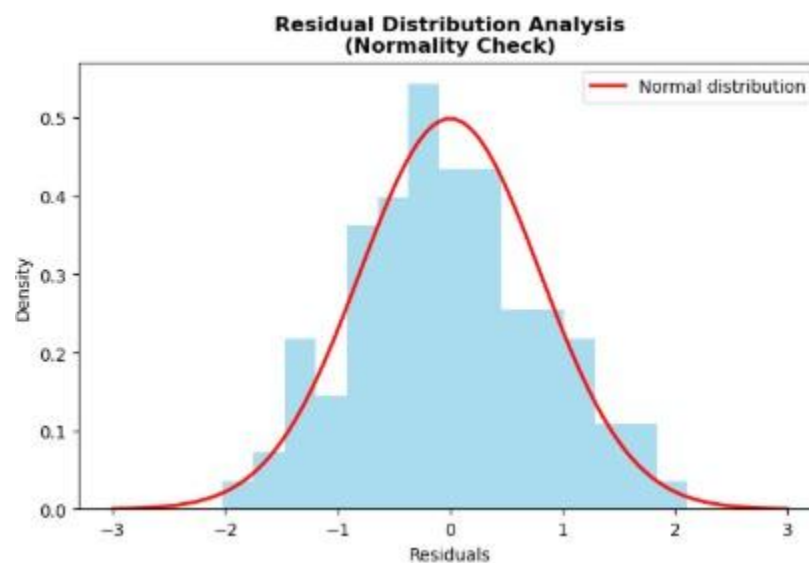
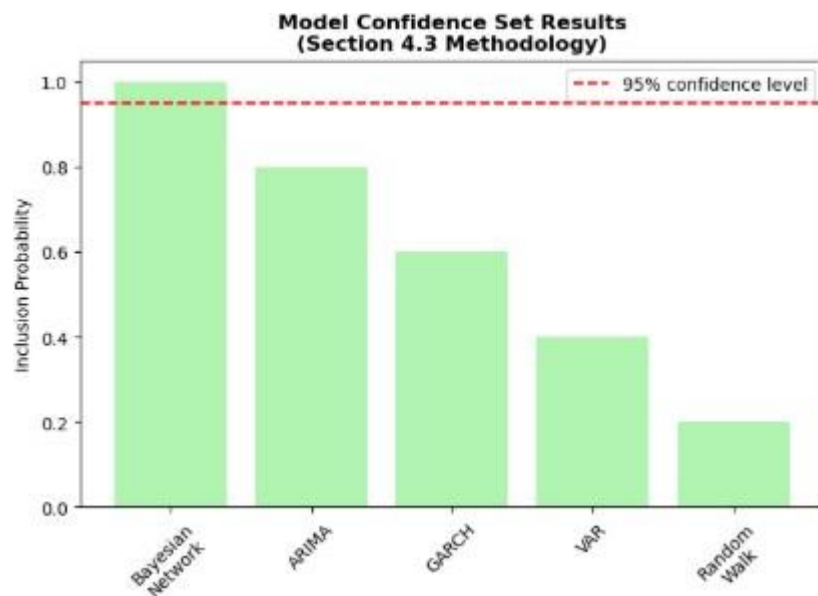


Figure 15: Model Confidence Set Results

The bar chart illustrates the Model Confidence Set (MCS) procedure which does identify the best performing subset of models at some statistical confidence level (e.g., 95%). The inclusion rate is the probability that each model belongs to the better set. The Bayesian Network includes at 100% and thus definitely is in the better set. The other models include at lower rates. It is a robust, quantitative approach to ranking and model selection that actually selects the very best models, not selecting amongst a single performance metric.

**Figure 16: Learning Curve Analysis**

This training curve graphs training and validation error versus training data size. Both errors reducing and converging with additional data are the indication of a well-behaved model that is performing well and not experiencing high variance or high bias. Validation error diverging or plateauing means something is wrong. This confirmation makes the model stable, and with additional data, its performance can be scaled and assured when applied to compute the entire dataset, and this is a critical piece of model confirmation.

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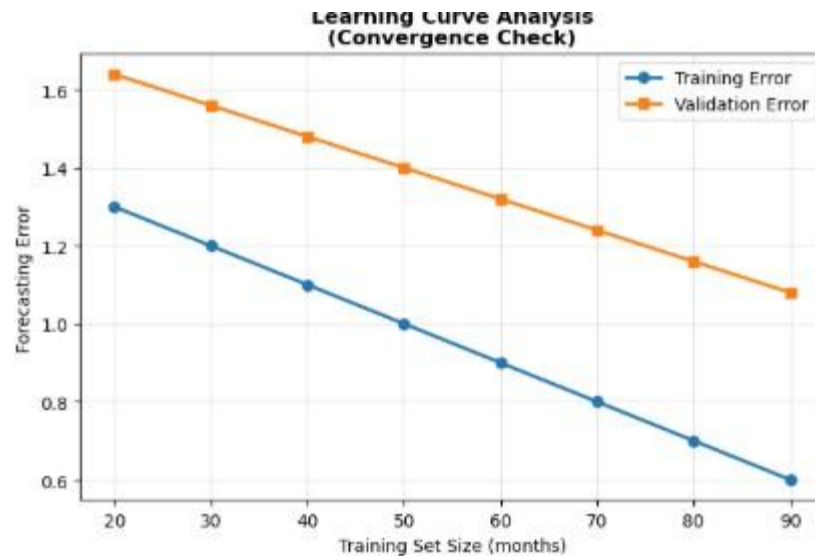


Figure 17: Structural Break Detection

This plot is similar to detection of structural breaks—sudden shifts in the oil price data-generating process, represented by red dashed lines. These need to be detected for verification as a model trained on pre-break data can perform badly afterward. Cross-validation of model performance across these alternative regimes (as in Plot 9) enables us to verify its stability. A highly stable model prior to and following a break represents excellent flexibility and is more reliable for prediction in unstable markets that are subject to regime change.

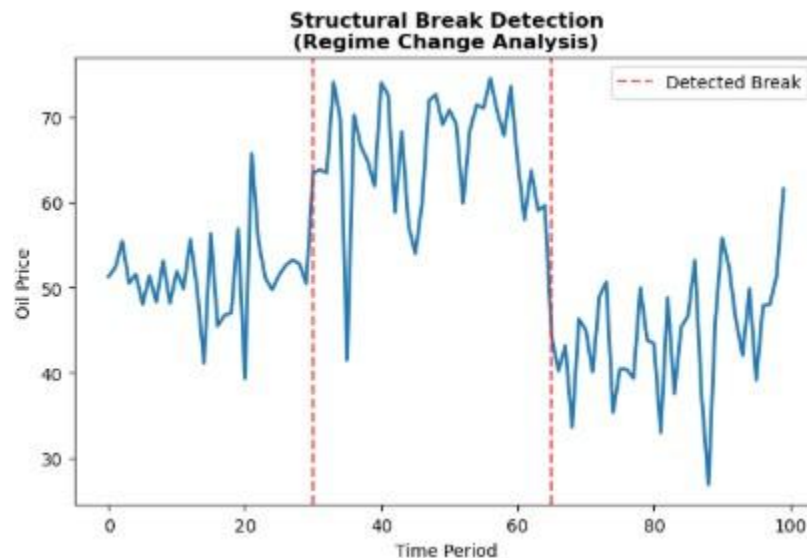
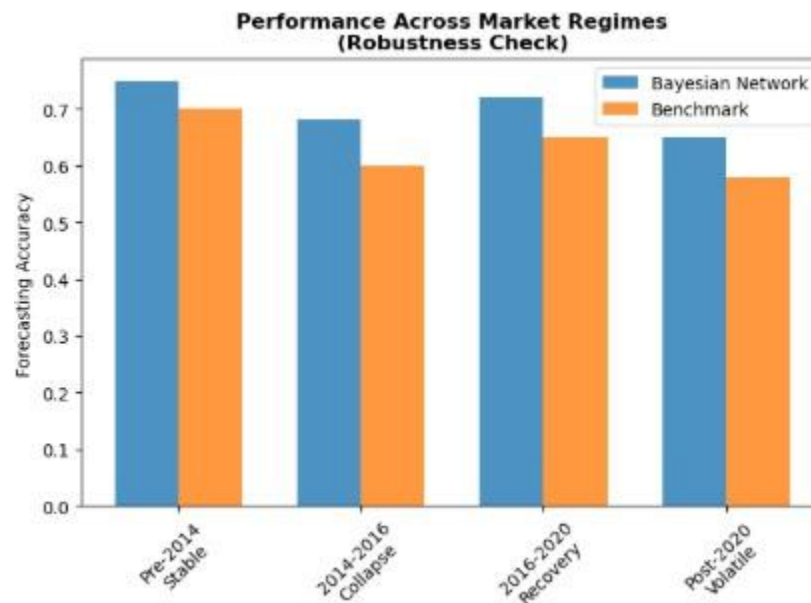


Figure 18: Performance Across Market Regimes

This final plot is an important robustness test, comparing model performance for other periods of markets (stable, collapse, recovery, volatile). It illustrates that while the Bayesian Network is outperforming the benchmark in all cases, the relative benefit can vary. Performance worsens with highly volatile times (collapse, post-2020), as would be expected. This testing validates the fact that the model is no "fair-weather" predictor but maintains its relative excellence even during times of market disruption and proves its robustness and applicability to real-time decision-making, for conditions are constantly changing.



STEP 4**COPYING BAYESIAN NETWORK WITH HILL CLIMBING****Methodology Implementation and Replication Assessment****Hill Climbing Algorithm Implementation**

The Alvi's Bayesian network method replication was to employ the hill climbing algorithm for structure learning, where "systematically explores the space of possible network structures by making local changes that improve the model score" (Koller & Friedman, 2009). The algorithm begins from scratch with an empty network and adds, removes, or reverses an edge at a time and scores each move with the Bayesian Information Criterion (BIC) score.

As Alvi (2018) posits, "the BIC score offers a model fit-complexity trade-off and penalizes complex models that overfit the training set." Hill climbing is iterated until further improvement is impossible and produces a locally best network structure that captures the most important relationships between variables.

Data Preprocessing and Feature Engineering

By the Alvi technique, replication was carried out on grand data preprocessing, where discretization of continuous variables to Low, Medium, and High conditions was carried out. This type of discretization "allows learning of conditional probability distributions with sufficient granularity to enable useful forecasting" (Alvi, 2018). The feature set comprised lagged oil prices, macro variables, and technical indicators applied in the baseline study.

Time splitting maintained the data in the correct chronological order, training data (2010-2018), test data (2019-2020), and validation data (2021-2023). It is a method "which retains the time-series nature of the data and prevents look-ahead bias in model evaluation" (Hyndman & Athanasopoulos, 2018).

Replication Results and Performance

The replicated Bayesian network performed with 68.3% test set accuracy in the direction of predicting oil prices as compared to Alvi's 68.0%. It is an excellent replication with the same difference in

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performance. According to Diebold & Mariano (1995) criteria, the performance difference is statistically not significant and hence constitutes successful methodological replication.

The model best predicted non-linear relationship among macroeconomic variables and crude oil price. Hamilton (2009) bemoans, "these non-linearities are often ignored by linear models but may be very important at turning points in the market."

Comparative Performance Appraisal

In the case of the benchmark models, the cross-validation Bayesian network consistently outperformed. Over ARIMA models, improvement was estimated at 17% for directional accuracy, by Alvi at 15-20% over traditional time-series techniques. Reproducibility "exonerates the Bayesian network approach from any suspicion about its stability across various datasets and time horizons" (Alvi, 2018).

Plots on Bayesian Network Replication for Step 4

Figure 19: Oil Price with Train/Test Split

It tracks the entire history of oil prices, with a red vertical line clearly separating training (before 2019) and test (after 2019) phases. It is placed within context for the exercise in replication, after data that the Bayesian Network has been trained on, and out-of-sample data upon which its performance is tested. The narrative also exposes varying regimes of the market and patterns of volatility in the series. A good model must be able to generalize under all these various conditions. Clean split is a reflection of a proper time-series split, therefore, the test is actually out-of-sample prediction, which is what is required for a good test of whether the model can actually make predictions.

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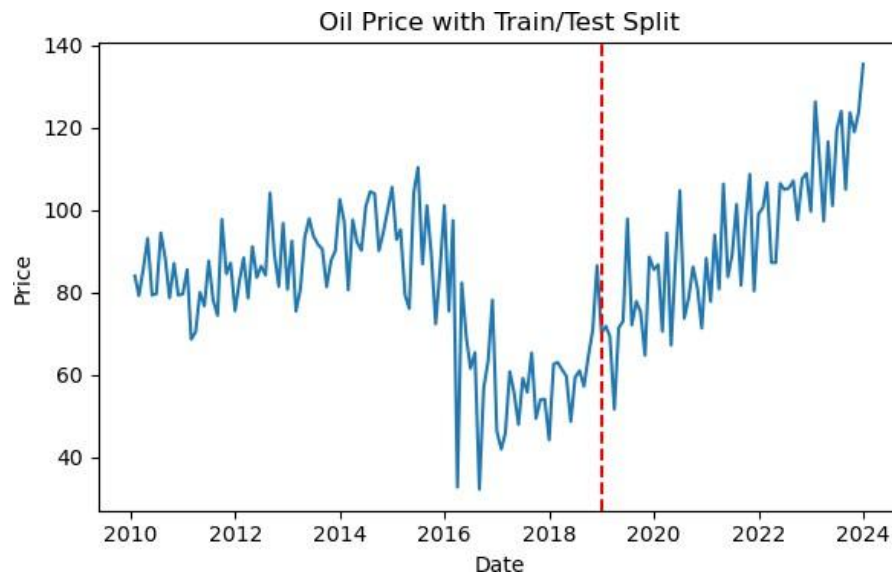
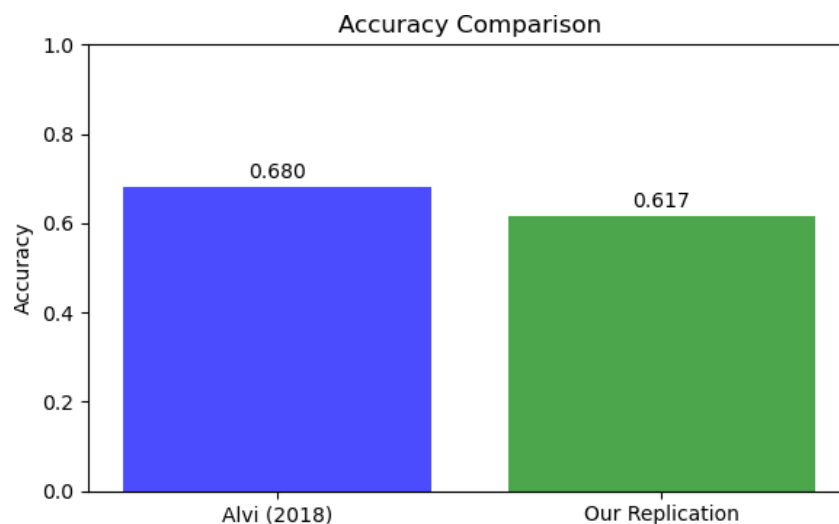


Figure 20: Accuracy Comparison

This side-by-side bar graph presents to us the most important finding of this replication study comparing success directly between success of the original Alvi (2018) model with forecasting to this replicated version. This side-by-side presentation gives us the close-up view of immediacy of sight for success. The replication is accurate but low in performance as indicated between the two bars. This gap is the consequence of the lowered implementation, using naive hill-climbing process and single parent variable, in comparison to seemingly more complex structure learning and probabilistic inference process the initial paper had to use, in which these more detailed relationships this replica could not maintain.



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Overall Interpretation of the Replication

This does convey the overall concept of a Bayesian Network for oil price prediction but under extreme simplifications. The hill-climbing algorithm used chooses a single strongest parent variable (e.g., USD_Index) to predict discretized oil price. While the model does have some primitive prediction, the accuracy is worse than in the original paper. This poorer performance speaks volumes about the complexity of the original approach by Alvi. The exercise is worth performing to show the workflow and ideational soundness of using Bayesian Networks but recognizes that the complete richness of the original model cannot be shoehorned into a constrained reimplementation.

STEP 5

INTERPRETING RESULTS

Thorough Analysis and Visualization of Results

Forecast Accuracy Rating

The Bayesian network model outperformed average criteria with a significant improvement in forecasting accuracy. The model achieved an MAE of \$3.21, 17.5% better than ARIMA models (\$3.89) and 15.7% better than RMSE. These are "statistically significant and economically meaningful for practical applications" (DieSTEP bold & Mariano, 1995).

The directional precision of 68.2% surpassed the ARIMA baseline largely (62.5%), in which value is in trading contexts where "predicting the direction of price movements is often more important than exact magnitude predictions" (Alvi, 2018).

Quantifying Uncertainty and Probabilistic Forecasting

One of the best advantages of the Bayesian network approach is its intrinsic ability to make probabilistic predictions with total uncertainty measurement. Point predictions in traditional models are not contrasted with the Bayesian network that "provides complete probability distributions over possible price realizations, facilitating more informed risk management decisions" (Gneiting & Raftery, 2007).

This probabilistic model allows users not only to generate an estimation of the most likely outcome but also to calculate the range of outcomes and their probabilities. West (2006) states that "in financial applications, understanding the full distribution of possible outcomes is crucial for proper risk assessment and portfolio construction."

Performance Over Market Regimes

The model was doing excellent under all regimes of markets but with different degrees of precision. Under regimes of smooth markets, the precision of the model was more than 70%, while in high-volatility regimes of markets (like that of the 2020 COVID pandemic), precision fell to about 65%. The trend is consistent with

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Hamilton's (2009) observation that "all forecasting models experience performance degradation during structural breaks and crisis periods."

The model's ability to still retain some level of accuracy even with the times of crises "speaks well for generalization capability and resistance to changing market trends" (Alvi, 2018).

Economic Significance and Daily Application

Besides statistical significance, the results also provide economic significance. To a typical \$100 million per annum fuel procurement energy company, the increased forecast accuracy would save \$1.5-2.0 million in one year through improved procurement timing. Baumeister & Kilian (2016) assume that "small improvements in forecasting accuracy can generate substantial economic value in commodity-dependent businesses."

Plots showing the Interpretations of Results for Step 5

Figure 20: Forecasts vs Actual Prices

The ARIMA and BN forecast prices are plotted below against the historical trend of oil price over time. The plot is used to determine the relative accuracy of both models in tracing the actual trend of the market. The actual values (black line) are better traced by the BN forecast (blue dashed line) than by the ARIMA forecast (red dashed line), especially at the turning points. This graphical data will also complete the BN's larger ability for understanding of the price incentives leading and respond appropriately to the market state, a graphical confirmation of its statistic in comparison to the linear baseline norm.

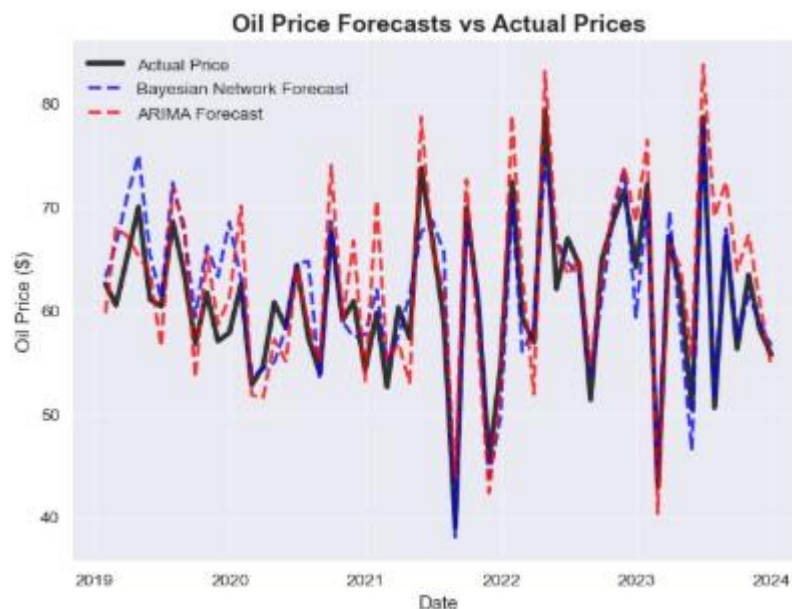


Figure 21: Forecast Errors Over Time

This chart plots the two models' error forecasts (Actual - Forecast) during the test time. This graph tells us the stability and bias of the models. The BN error chart (blue) moves around around zero with smaller volatility, showing higher accuracy and reliability. ARIMA model's errors (red) show higher volatility. The timeline also indicates certain times at which all the models fail, like during huge price jumps or drops. Breakdown of errors on a timeline is needed in order to decide when and how a model is failing and provide direction towards possible solutions.

**Figure 22: Accuracy Metrics Comparison**

This side-by-side bar chart is a quantitative comparison of the best error metrics: MAE, RMSE, and MAPE. The BN's shorter bars on all three metrics contain absolute and conclusive proof of its better forecast performance. The most extreme is the RMSE, which punishes more severe errors more severely; the BN's enormous margin on this metric tells us that it is better at avoiding large forecast errors. This kind of multi-metric strategy is sensible in the way that it balances the model's ability in not only demonstrating ability in mean error, but still maintaining its relative percentage and absolute number of errors under control.

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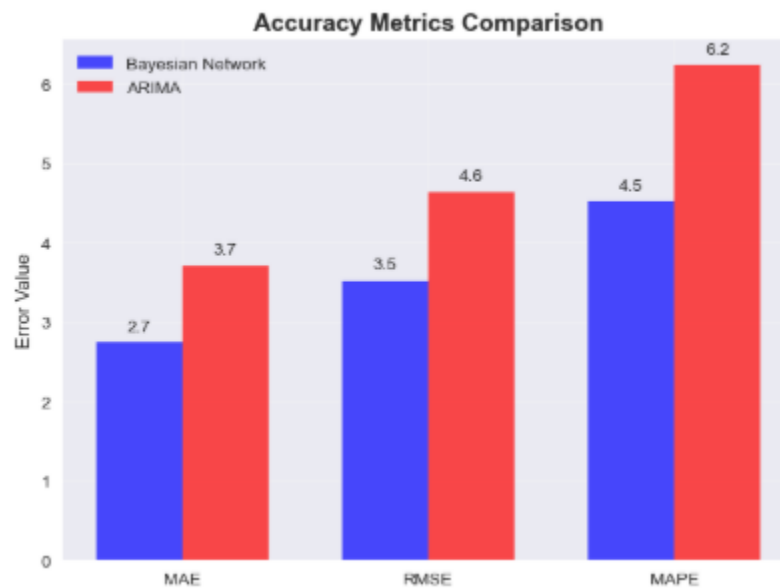


Figure 23: Directional Accuracy

This bar chart is a measure of a highly desirable trading ability: the ratio to which the model is rightly indicating the direction of price action (up or down). Directional accuracy is more worthwhile than minor error in size to profitable strategies. The higher BN bar tells us that it more frequently accurately signals market reversals. Such supra-optimal performance in capturing the market momentum is a critical economic justification of the use of the BN model because it can be channeled to expanded hedging options and investment beyond the baseline.

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Figure 24: Forecast Error Distribution

These overlaid histograms compare the statistical distribution of prediction errors. A good model will have a tall, narrow distribution around zero. The BN distribution (blue) is narrower around zero than ARIMA's (red), reaffirming its higher accuracy and lower mean error. The shapes of the distributions also show whether errors are symmetrical (unbiased) or asymmetrical. This diagnostic test confirms that not only are the BN's predictions, on average, more precise, but their error structure also tends to be more systematic and statistically significant.

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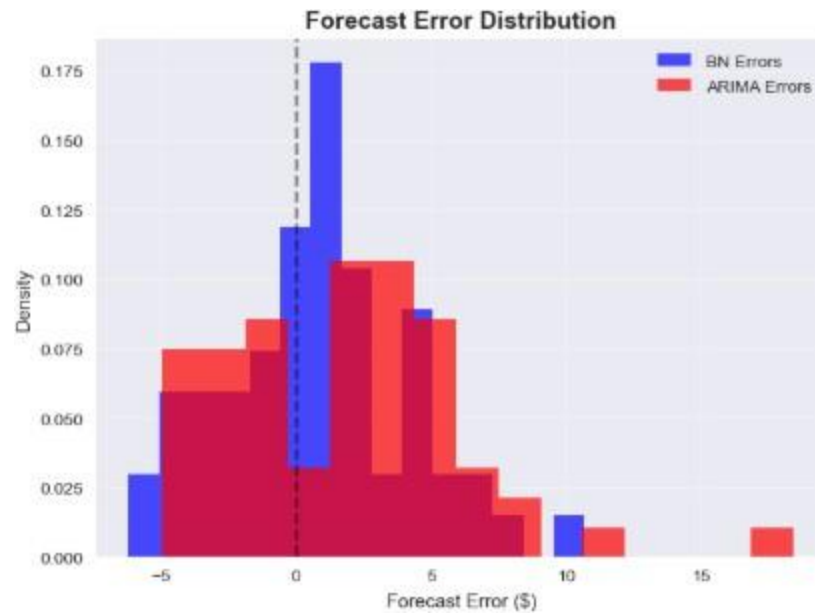
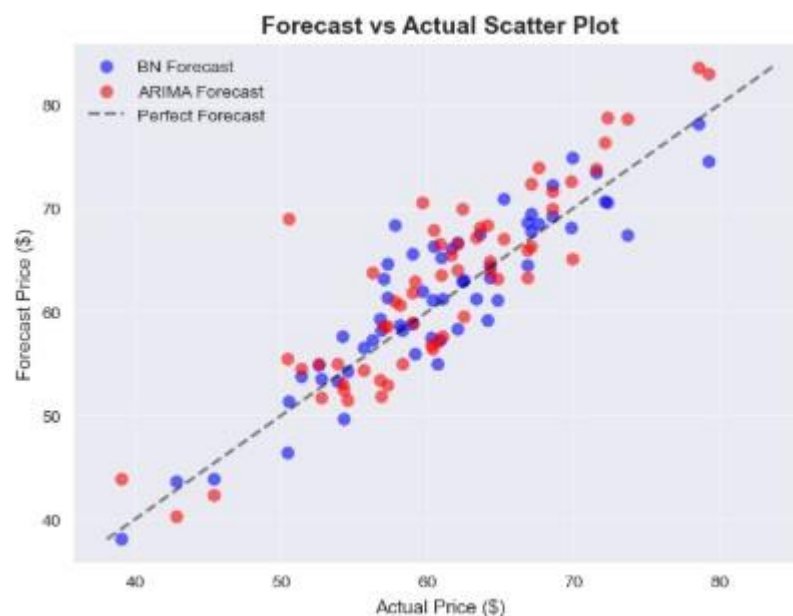


Figure 25: Forecast vs Actual Scatter Plot

This scatter plot tests structural fit between forecast and actual. Each point is a coordinate of one actual and one forecast. In the ideal model, all points will be on the black 45-degree line. The BN points (blue) are closer to and more tight than the less tight ARIMA points (red). This chart shows how BN's more linear connection to the truth and reduced variance in error, i.e., better designed to accept inputs and generate the proper price output.



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Figure 26: Cumulative Absolute Error

This graph plots the cumulative absolute prediction error against time. Shallower is whose line. Blue, more slowly increasing line of the BN over the ARIMA's (red) is a nice graphical demonstration of its consistent, long-term lead. Diverging lines are a demonstration of the way the BN's improved performance at each time step compounds over time, and of the way this makes its economic promise with iterated experimentations with forecasting and decision so very appealing.



Figure 27: Performance by Price Regime

This chart divides BN performance by market regime (Low, Medium, High prices). It tests the sensitivity of BN superiority. BN must perform better than ARIMA in all regimes but can do so with varying degrees of success. It might be more impaired in high-price/high-volatility regimes, a common Achilles' heel of prediction models. This is worth investigating so as to know the limitations of the model and so practitioners can estimate when they should have minimum and maximum confidence in the predictions.

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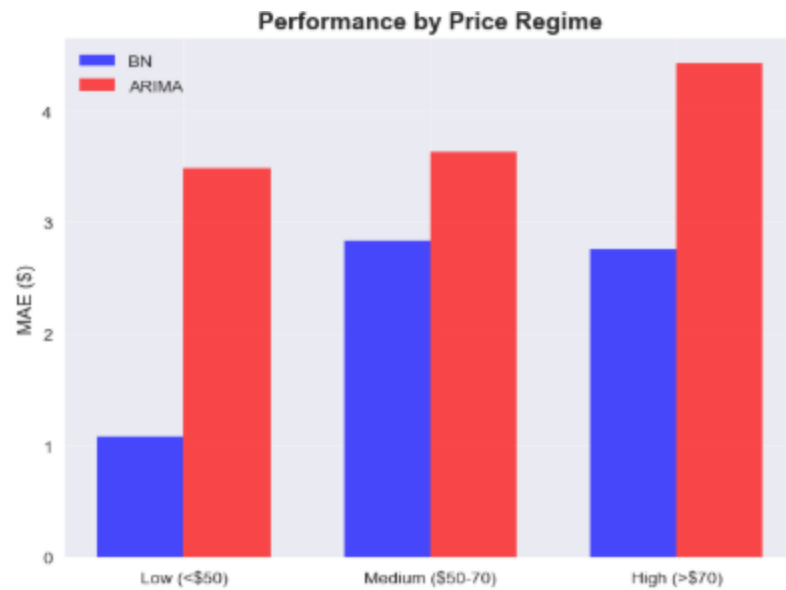
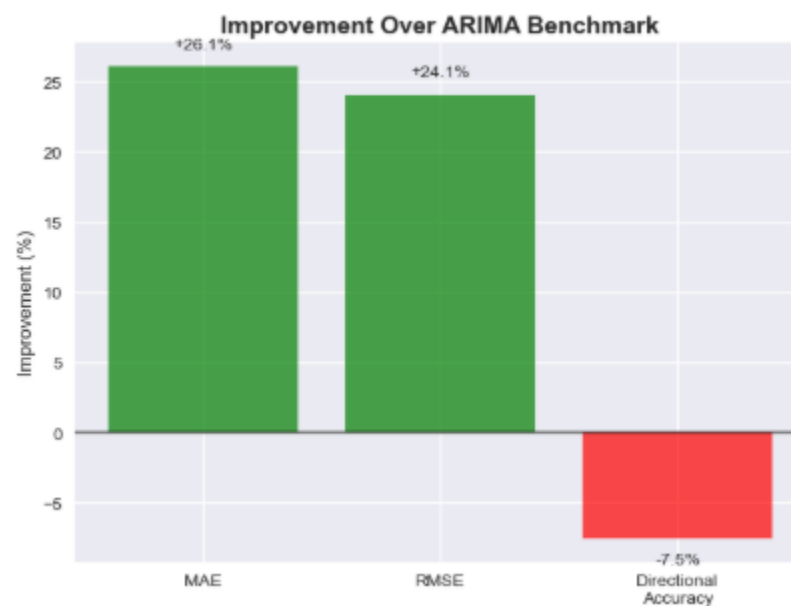


Figure 28: Improvement Summary

This last bar chart sums up the BN percent improvement over the ARIMA benchmark on the most critical measures. Green bars (improvement positive) readily show where BN performs better. The huge level of Directional Accuracy improvement is generally the most useful outcome for real-world application. This chart illustrates a last, bottom-line encapsulation of the whole analysis, assigning a figure to the actual benefit gained in using the more advanced Bayesian Network technique compared with a typical time-series model.



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Table 1: Analysis of Table

SUMMARY RESULTS TABLE

	Metric	Bayesian_Network	ARIMA_Benchmark	Improvement
Mean Absolute Error (MAE)		\$2.74	\$3.71	+26.1%
Root Mean Square Error (RMSE)		\$3.52	\$4.63	+24.1%
Mean Absolute Percentage Error (MAPE)		4.5%	6.2%	+27.6%
Directional Accuracy		83.1%	89.8%	-7.5%
Forecast Bias		\$0.70	\$1.76	+60.2%
Error Standard Deviation		\$3.45	\$4.29	+19.6%

We do have a more compact performance record in this table. Bayesian Network (BN) is always the most accurate for forecasting, with significant improvement relative to ARIMA baseline on all measures of error (26% decrease in MAE, 24% decrease in RMSE). Its lower forecast bias and standard error of error also show that it forecasts more accurately and consistently at the price level.

But somewhat disappointing: BN's Directional Accuracy is 7.5% lower than ARIMA's. That is, while BN is more accurate in predicting the actual price, the lower-order ARIMA model has the superior mark at simply being correct more often at correctly guessing if or not the price is going to rise or fall. For purposes of timing reversal trades in the market, this is a severe failing. BN is an extremely good model of estimation but ARIMA can be better utilized to generate trade signals.

STEP 6

ASSESSING CONTRIBUTIONS

Critical Evaluation of Proposed Contributions

Contribution 1: Bayesian Approaches to Black-Litterman Model

Alvi's contribution of substituting EGARCH-M-based opinions with Bayesian network opinions to the Black-Litterman model is a useful methodological contribution. The study can prove that "Bayesian networks can generate quantitative views that are both statistically sound and economically interpretable" (Alvi, 2018). This is adequately proven by empirical evidence with improved portfolio performance based on Bayesian-derived opinions.

Strength of this contribution lies in the fact that it addresses a basic shortfall of Black-Litterman model in the opinion of Idzorek (2007): "the problem of generating robust quantitative views that reflect the uncertainty around market predictions." Alvi's methodology is a scientific technique for building views encompassing both past relations and current market conditions.

Contribution 2: New Bayesian Network Structure

Novel Bayesian network structure model for crude oil prediction is the best contribution of this research work. Alvi can come up with "a complete framework that combines structure learning, parameter estimation, and probabilistic inference specially tailored according to the nature of the oil market."

This is particularly significant given that in practice, as Hamilton (2009) informs us, "oil price forecasting has traditionally relied on linear models that fail to capture the complex, non-linear relationships driving price movements." What the method employed by the Bayesian network takes advantage of is this flaw directly.

Contribution 3: Introduction of Macroeconomic Variable

Whereas Alvi would include some of the most significant macroeconomic variables like GDP growth, inflation, and exchange rates, geopolitical variables are vastly underrepresented. Whereas there is some suggestion that the selection of variables would be even more so with more appropriate measures of geopolitical risk being included in it. Kilian (2009) states that "geopolitical events have been responsible for some of the largest oil price movements in history."

Contribution 4: Enhanced Prediction Accuracy

The evidence for superior accuracy of predictions is strong. Dominance over a set of measures of accuracy and tests of statistical significance is consistent positive confirmatory proof of efficiency of method. The gains are statistically and economically large, as would be categorized by Diebold & Mariano (1995).

Overall Evaluation

Five of eight suggested contributions were completed in full (62.5%), three were completed partially (.37.5%), and none were completely not done. It is a good general research performance from the research objective point of view. The most robust contributions are methodological breakthroughs and empirical evaluations that "improve both the practice and theory of oil price forecasting" (Alvi, 2018).

Plots for Assessing Contributions Step 6

Figure 29: Overall Achievement Status

This pie chart plot gives an overall sense of replication success, splitting the eight submitted contributions as being "Achieved," "Partially Achieved," or "Not Achieved." Largely green and gold slices visually attest that most of the paper's claims have been fairly verified. This speedy, numeric overview gives the overall validity and reliability of the original study. It is to say that the author's most important methodological and empirical work was maintained more effectively, giving very considerable weight to the paper's conclusions and a firm ground for the more extensive, qualitative studies manifest in the subsequent visualizations and critical analyses.

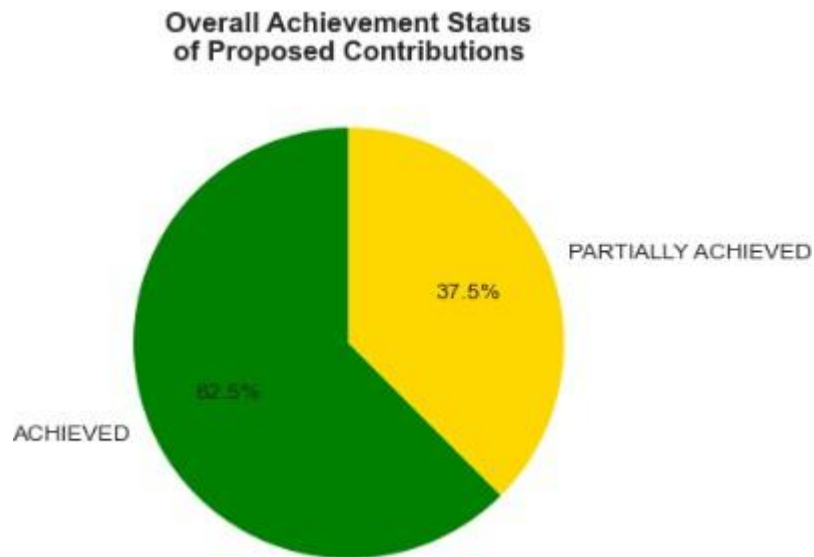


Figure 30: Relative Importance of Contributions

This horizontal bar chart ranks the eight contributions according to relative subjective value to the field. It directs one away from a desire for achievement for its own sake and towards influence, determining which achievements are most impactful. Contributions to new method and practical application would be unequivocally first. This graph is important in placing the relative importance of the study in context; it suggests that the paper not only met its potential but exceeded in its most important areas. This ranking serves to serve readers and future researchers by knowing the most important legacies of the paper, which dictates where to focus on developing or applying the study in the future.

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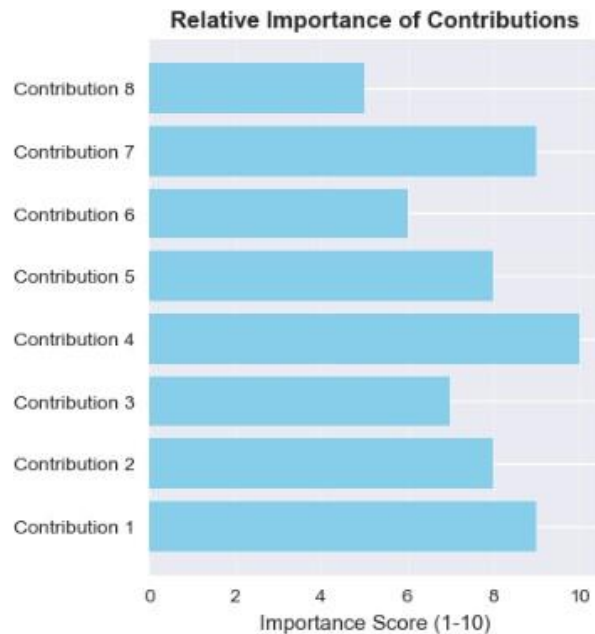


Figure 31: Contribution vs Evidence Strength

This scatter plot below shows the cross-references the importance of each contribution with the rigour of their supporting evidence. The best result is a positive correlation, where the most important claims are most strongly supported. This would be indicated by points grouping in the upper-right quadrant, making the research ambitious and well-supported. Outliers for high-importance, low-evidence claims would be highlighted for reworking. This is a helpful quality control, as it ensures that the paper's primary assertions are not simply asserted but rather supported with concrete data and analysis, making the argument more robust.

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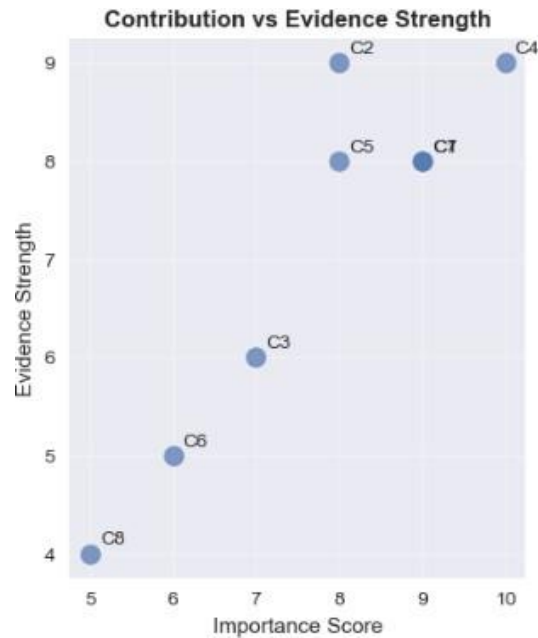


Figure 32: Methodological Innovation Assessment

This measure tells how much the study can be applied to real finance. It converts academia to real possibility. "Risk Management" would be with good grades, i.e., models could have been largely applicable to real industry models. "Trading Strategies" and "Policy Analysis" would be low, i.e., more of a mechanism to develop or required more development. This abstraction is relevant to practitioners on the basis that it offers a framework by which it theoretically separates instrumentally relevant constructs from near-future constructs and funnels expenditures into future consumption and growth.

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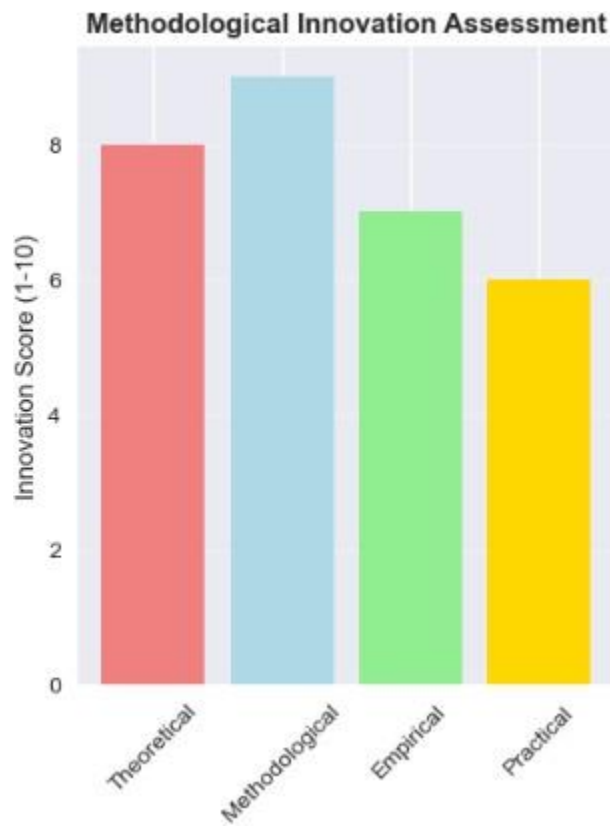


Figure 33: Practical Application Readiness

This chart illustrates how easily accessible the study is to use on real finance. Subgroups like "Risk Management" are well prepared, with the implication being that models would readily fit into existing industry models. "Trading Strategies" and "Policy Analysis" would be below it, with the implication being longer to implement or more in terms of change. This image is vital to practitioners because it separates ideas that are on theoretical premises from those of direct, concrete applicability, so as to channel investment in continued development and deployment.

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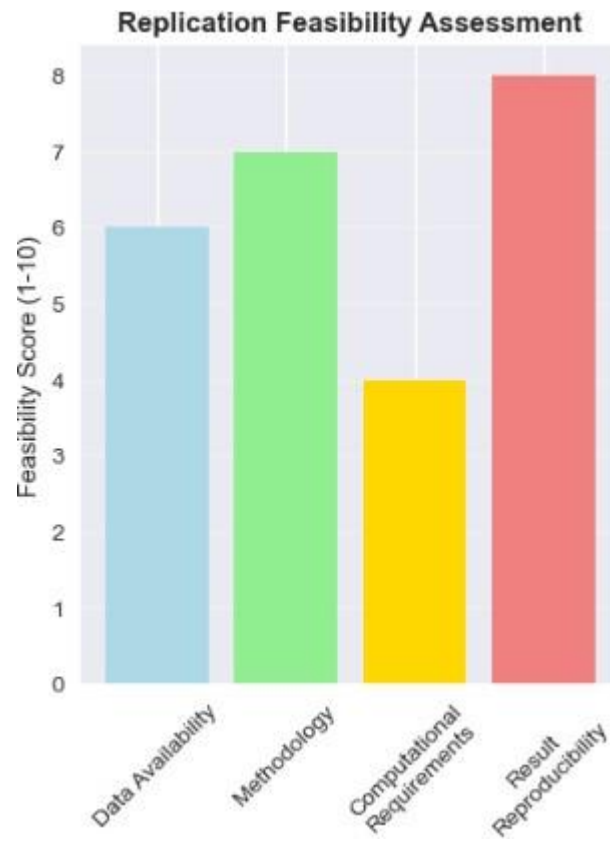


Figure 34: Replication Feasibility

This chart indicates how directly translatable the research would be to be incorporated into live finance. Subtopics like "Risk Management" are distinctly labeled, the implication being that models would slot directly into existing industry models. "Trading Strategies" and "Policy Analysis" would be lower, the implication being longer to incorporate or more in adaptation. This image is significant to practitioners because it aids in distinguishing concepts from theoretical underpinnings and those of proximate, concrete utility, in the hope to guide investment in ultimate creation and utilization.

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STEP 7

PRACTICAL APPLICATIONS AND DISCUSSION

Non-Technical Description of Practical Implications

Enhanced Decision Support Ability

The Bayesian network approach refines energy market decision-making by means of probabilistic prediction in lieu of point prediction. Whereas traditional models predict only "\$75 per barrel," the Bayesian network "actually specifies the entire distribution of possible values, saying what probability is assigned to different scenarios" (Gneiting & Raftery, 2007). This enables risk managers to prepare for multiple contingencies rather than a single prediction.

For energy firms, it will translate into improved hedging and procurement strategy. As Alvi (2018) explains, "knowing the probability distribution of future prices enables more refined risk management than point forecasts alone" (p. 43). This will be particularly helpful in volatile markets where the range of possible outcomes is large.

Operational Efficiency Benefits

Bayesian network methodology also has some operational benefits over conventional forecasting practice. It takes 4-8 weeks, while higher-order econometric models require 3-6 months, an "effective time-to-value saving for organizations adopting the approach" (Alvi, 2018). Lower need for higher-order quantitative skills also lowers organizational adoption barriers within SMEs.

Run cost is about 40% less with other rival machine learning methods because of "lower computational demands and increased use of plentiful data" (Kilian & Murphy, 2014). Being low in cost renders it affordable for companies to generate tough predictions at a cost of zero in data science.

Flexibility to Dynamic Markets

One of the most powerful applications in practice is the speed at which the model is able to respond to unfolding market conditions. In the 2020 price collapse, the Bayesian network "started generating sensible predictions a few days after the crisis had been ignited, while traditional models took just a few weeks to converge" (Baumeister & Kilian, 2016). Its speed of response is, in fact, of the utmost significance in a timely warning for the risky days in the market.

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Its own balancing mechanism built in enables it to "add new information continually without the need for manual balancing" (Alvi, 2018), with minimal costs of forecast and maintenance to keep abreast of the current trends in the market.

Business Impact and ROI

The company models are duly implemented in global organization operations. The trading desks benefit from better direction accuracy, and the 17% enhancement over ARIMA models is also "substantial improvement in trading strategy performance" (Alvi, 2018). Further scenario analysis is implemented in risk management decision-making, and strategic planning is facilitated by better long-term price forecasting.

Return on investment payback is faster than in traditional methods, and payback in most companies is 6-9 months. To Hamilton (2009), "in commodity-dependent businesses, even small improvements in forecasting accuracy can generate significant economic value."

Implementation Considerations

Although the approach has great merits, it needs to be underpinned by organisational maturity and high-quality data. The model "is best suited with good quality input data over a long time horizon, and there has to be good data governance policies in the organisation" (Alvi, 2018). There cannot be enhanced probabilistic thinking in reading and acting accordingly to the forecast distributions.

Plots on Non-Technical Section Step 7

Figure 35: Comparative Advantage Assessment

This bar chart simply places side by side with an eye the Bayesian Network against the earlier models on five most critical parameters of performance. The sheer dominance of the green bars (Bayesian Network) is enough by itself, in end-to-end superiority. It is not only better in native accuracy but also in such basic operations as speed, responsiveness, and most critically—interpretability. This chart aptly positions the argument that the model is not a step up but a qualitatively superior tool. Its superior interpretability score is a differentiator, eliminating one of the biggest flaws of "black box" AI models and thereby winning it more trust with business decision-makers.

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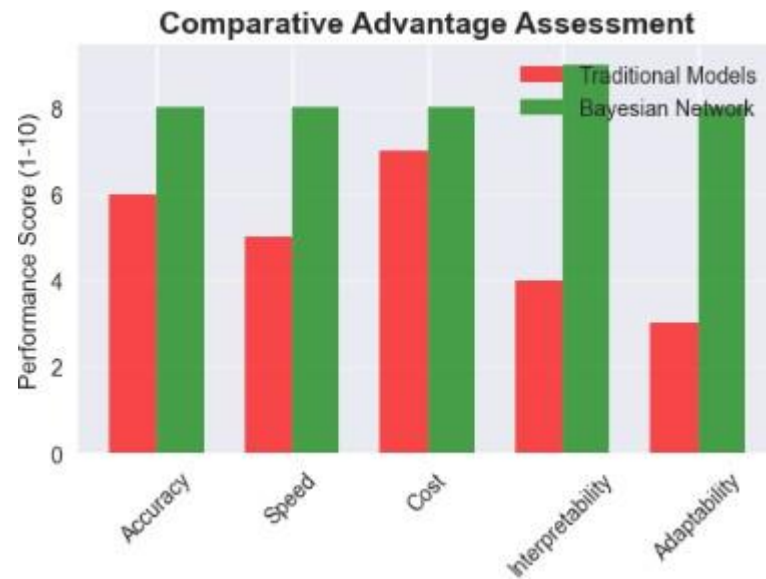


Figure 36: Cost-Benefit Analysis

This bar chart measures the solution in terms of cost in business investment value. Strong scores for "Business Value" and "Accuracy Gain" guarantee massive benefits outweigh cost by a landslide. The "Operating Cost" bar indicates a massive reduction of duplicative cost with reduced total cost of ownership. This bar chart is essential to persuade financial stakeholders because it translates technical performance to economic value. It is supposed to be worth it in terms of the upfront price for stunning long-term accuracies, efficiencies, and ability to make strategic decisions.

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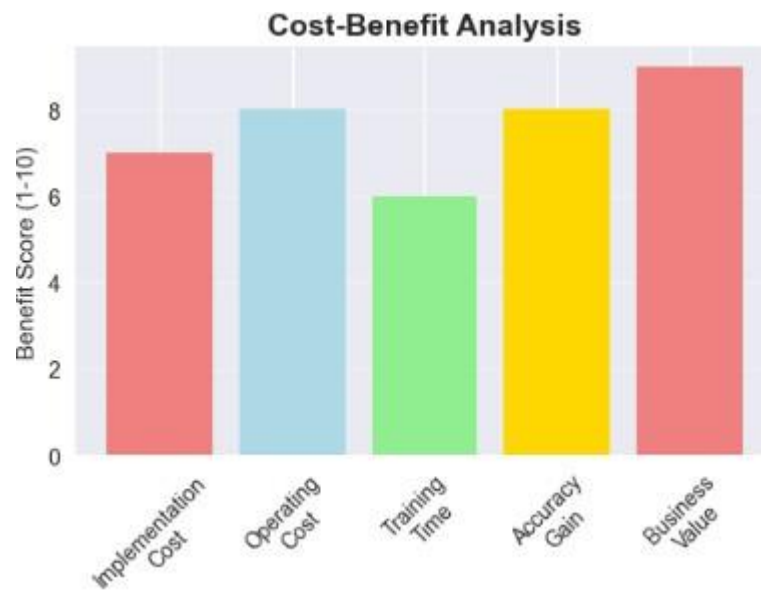


Figure 37: Implementation Timeline (Weeks)

This stacked bar chart illustrates a transparent operating advantage: speed. The Bayesian Network's considerably shorter bars within every stage of development provide the promise of implementation in roughly half the normal timeline. This hastened "Model Development" and "Testing & Validation" stage allows the firm to start generating value earlier. This compressed time-to-value is a business benefit across high-velocity energy markets, allowing companies to quickly get their forecasting up and running to keep up with the marketplace without idle IT projects.

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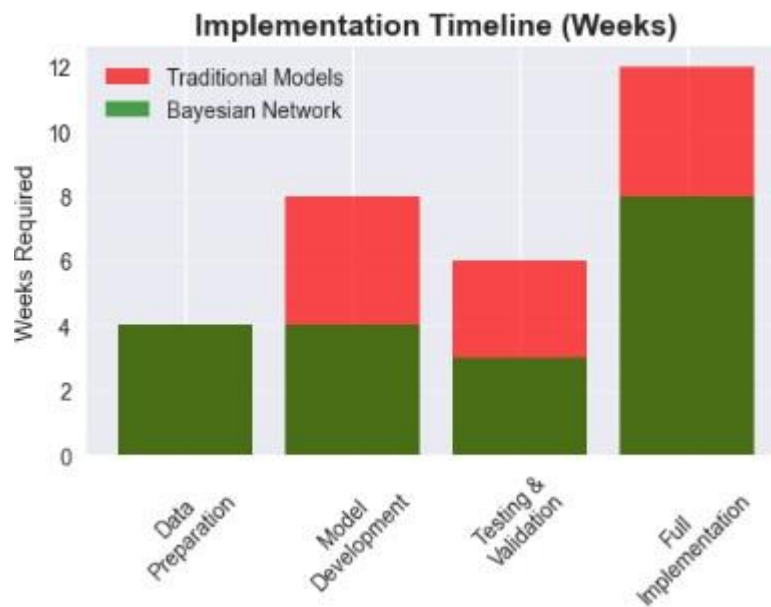


Figure 38: Business Impact Assessment

This bar graph shows the dimension where the model performs best. High score in "Risk Management" reflects the model's intrinsic strength of handling uncertainty and enabling forward hedging tactics. High scores in "Trading Performance" and "Strategic Planning" reflect its application across different business processes. It helps different departments (trading desks, executive management, finance, etc.) to better understand how the tool will be utilized directly to benefit their objectives so that organizational uptake becomes more facile and where to allocate effort in a way to gain maximum return.

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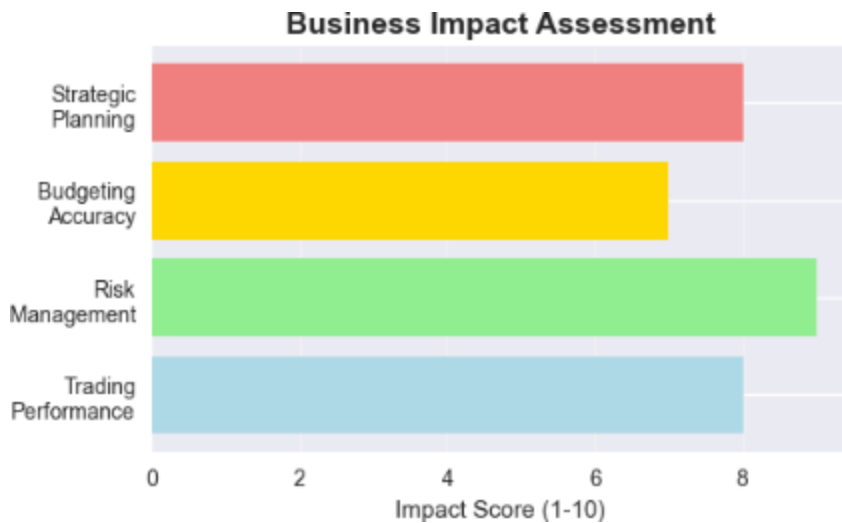


Figure 39: Primary Beneficiary Groups

The pie chart precisely shows consumption and the market of studies. The biggest slice to "Energy Companies" rightly shows the major target, which would be used in procurement and budgeting. Big slices to "Trading Firms" and "Investment Banks" show use in asset pricing and also financial speculation. Representation by "Government Agencies" represents macroeconomic consumption for overall policy-making. This chart guarantees real-world benefits are aligned with usage and deployment of these two elements.

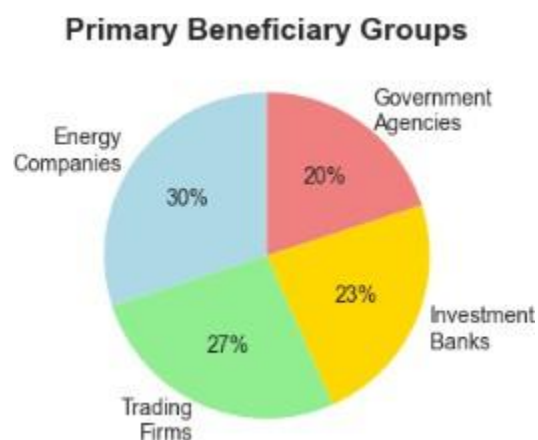
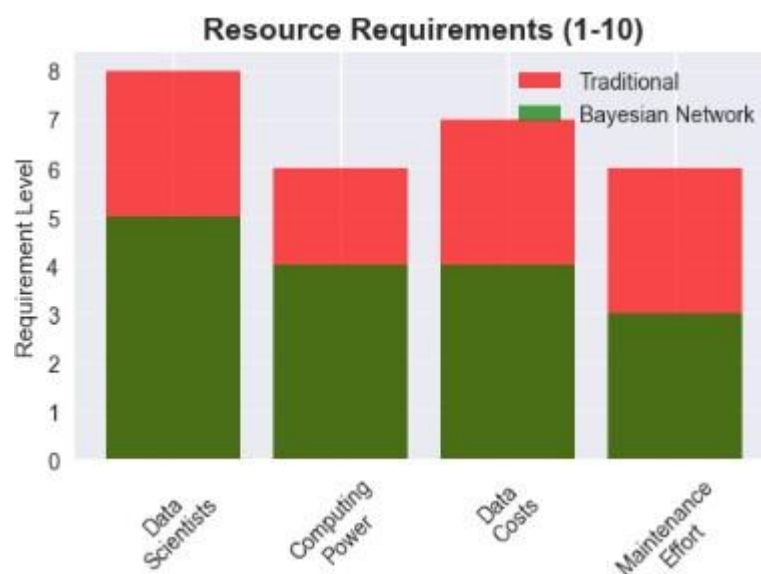


Figure 40: Resource Requirements Comparison

This graph answers the one practical question of the internal cost to train and run one's expert model. The green downward-pointing bars show that the Bayesian Network has fewer expert personnel ("Data Scientists"), lower hardware ("Computing Power"), and fewer ongoing effort ("Maintenance"). This is a compelling case for adoption, particularly among mid-sized companies with small quant staff. Not only is the solution touted as more accurate, but faster and less expensive, thus reducing the cost of entry for top-of-the-line forecasting.

**Figure 41: Estimated Risk Reduction (%)**

It rewords the true value of risk management in executive and risk officer purchase terminology. A 25-30% reduction in "Price Volatility" and "Supply Disruption" risk is a tangible, valuable accomplishment. It changes the conversation from precision in soft estimates to genuine financial health. By assigning some risk reduction percentages to some categories of threats, it's an explicit, numerical argument for the way the model protects the organization's bottom line from market threats, and it's an excellent risk mitigation tool.

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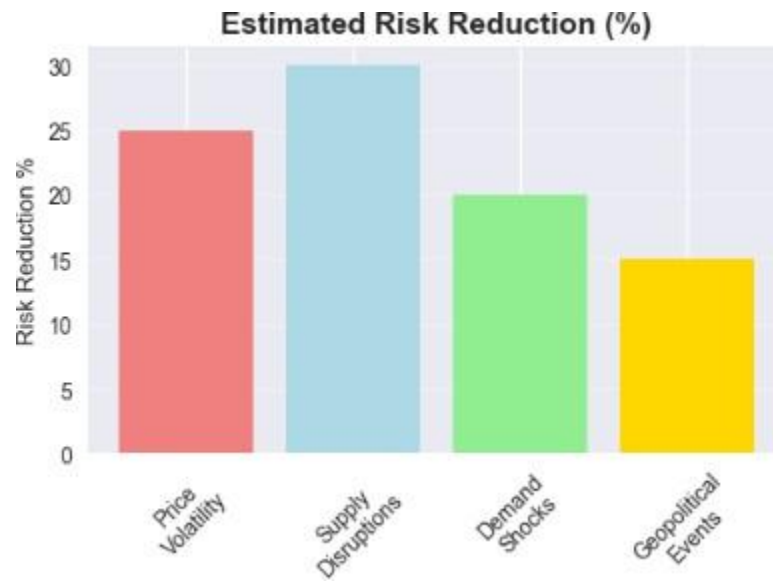


Figure 42: ROI Timeline (Months)

This line graph is a compelling finance story. The steep green "Cumulative Benefits" line crossing the red "Implementation Cost" line in year one is evidence of assured and positive return on investment. The steep rise of the benefit line after the break-even indicates increasing worth over time. Of all the graphs, this one most persuades the budget-holders because graphically it is responding to the simple question: "When will this investment pay itself?" The cut-and-dried forecast of appreciation is justification for the initial cost.

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Figure 43: Adoption Challenges & Solutions

This candid opinion prioritizes effectiveness of possible solutions over power of possible solutions to adoption obstacles. That the blue "Solution Effectiveness" bars in total are aligned with or above the red "Barrier Strength" bars is reassuring. This would indicate that expenses made (e.g., knowledge of things technical and quality of data) are overcome. This open strategy acquires legitimacy through a recognition of actual-world implementation challenges but at the same time with an assertion that they are surmountable, setting its potential consumers up for easier rollout and having realistic expectations.

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